INSEAD CONSULTING BOOK

2006

ICC

[INSEAD CONSULTING CLUB]

Sponsored by:

BCG THE BOSTON CONSULTING GROUP

1. Introduction

The ICC (INSEAD Consulting Club) is pleased to present the INSEAD's second Consulting Book – the 2006 updated version, following up on the tradition created by the 2005 class. This book was created with the aim of assisting you as you prepare for a career in consulting.

The book consists of sections that detail the different steps within the job search process. It starts with an overview of trends in the Consulting industry and provides you with an overview on a selection of leading Consulting firms. This would serve as part of your background knowledge as you begin conducting informational interviews. The informational interviews serve two main goals: finding out whether there is a fit between you and the company, and acquiring more information on the company to be used in your cover letter or interview. In the section for resumes and cover letters, we have included samples of resumes and cover letters from students who were successful in their consulting job search. In addition, to assist you when you prepare case interviews, we have included a collection of case frameworks and a set of practice cases, which you may use to further polish your case-interviewing skills.

We would like to acknowledge the support we received from the Boston Consulting Group, without which producing this book would likely not have been possible. We would also like to express our gratitude for McKinsey & Company, BCG and Bain for providing us with materials and for helping the ICC and Career Services put together a wide array of consulting-oriented activities, including "Crack a Case" sessions, coffee chats, mock interviews and more. We feel that cases sponsored by the different Consulting firms are a good representation of cases that you can expect at your interviews because they have been used by these firms for actual case interviews as part of their recruitment process over the past years. While this compilation may not be exhaustive, we do hope these cases give you a flavour for what to expect in your interviews. Remember, practice makes perfect!

We would also like to thank the 2005 CC board members for initiating this emerging tradition of producing and distributing the INSEAD Consulting Book free of charge. We are also very grateful to the current students, ex-consultants, and alumni who have contributed significantly both to this book and to the ICC's ongoing activities, in the form of mock interviews, CV reviews, industry background presentations, informal chats and just generally helpful feedback and input. Finally, our most sincere thanks go to the INSEAD Consulting Club members who have made this book a reality, and in particular to the one man without whom all this would not have been possible: Stan Belot.

ICC Board, 2006

2. Timeline of Consulting Job Search Process

January Promotion

Self Assessment & Internship hunt P1-P2	More Sector Research P3	Summer Break	Go For It! P4-P5
- Self Assessment - Attend Mock-interview sessions - Prepare CV & Motivation letters - Do Informational interviews - Interview preparation with Peers - Apply for Summer Jobs	- Networking - More Research - Just CHILL! - More informational interviews (especially with the firms not coming on campus)	**INTERNSHIP** - More Informational Interviews (at the location of the summer project) - Networking	- Attend company presentations - Company case-interview sessions (for e.g. The BCG Case Interview workshop and The Booz Allen Crack The Case workshop) - Interview preparation with Peers - Consult job postings - On-campus recruitment

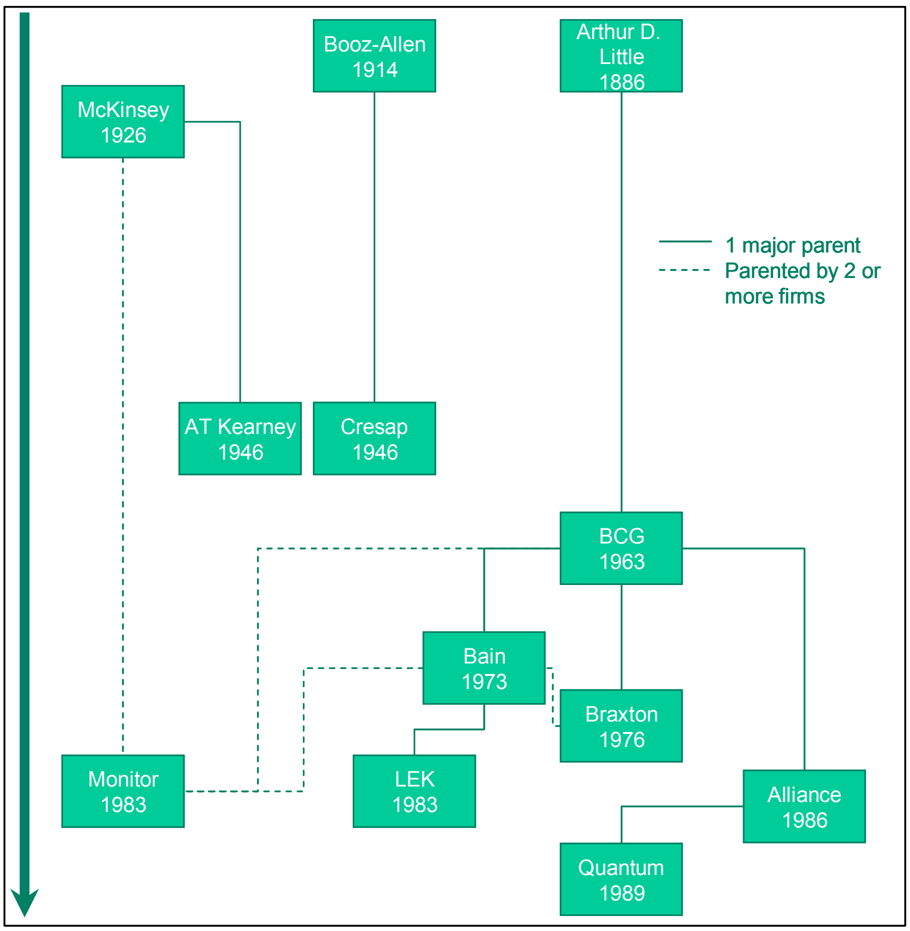
September Promotion

Self Assessment P1	Prepare CV & Network P2	Networking P3	Go For It! P4-P5
- Career Orientation - Self Assessment - Counselling / Advising sessions - CHILL!	- Prepare CV and Motivation letters - Networking - Informational Interviews	- Research Consulting Sectors & Companies - Networking - Interview Preparations - More informational interviews	- Attend company presentations - Company case-interview sessions (for e.g. The BCG Case Interview workshop and The Booz Allen Crack The Case workshop) - Interview preparation with Peers - Consult job postings - On-campus recruitment

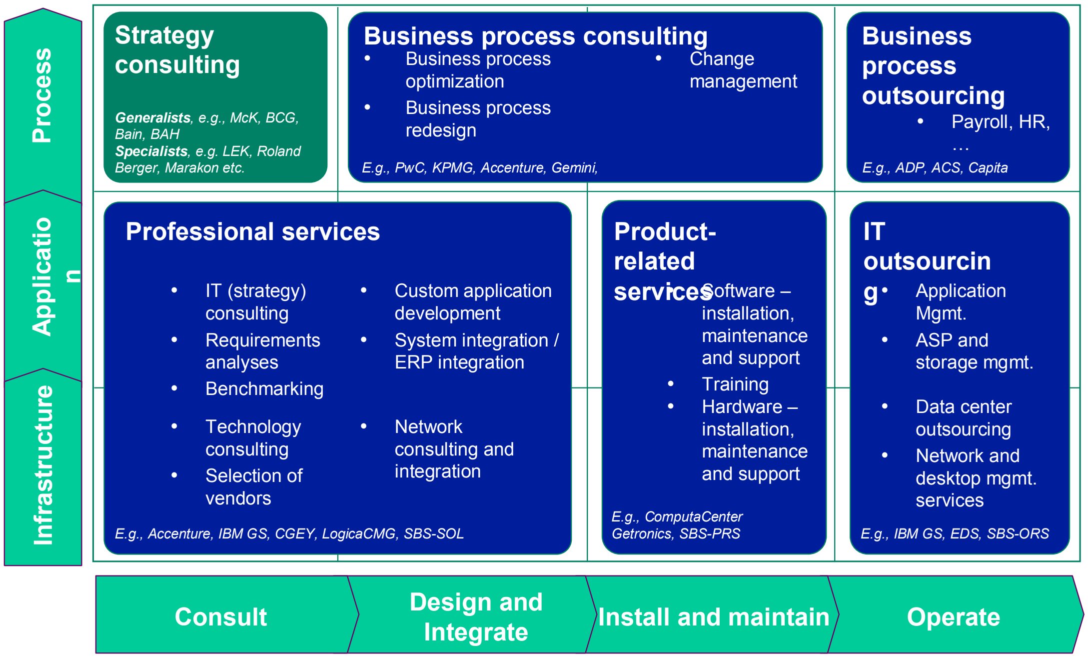
3. Company Specific Information

History and Evolution of Management Consulting

- **Late 19th/early 20th Century**: origin of consulting - "Efficiency Experts", mainly engineers. Early firms - Arthur D. Little (1886), Booz Allen Hamilton (early 20th century)
- **1926**: birth of modern Management Consulting with foundation of McKinsey; blend of auditing and consulting services, based on a general method called the "General Survey"
- **Mid-20th Century**: A.T. Kearney splits off from McKinsey to become stand-alone firm; McKinsey abandons auditing and focuses only on consulting; firms start to hire straight out of business school
- **1960s-1970s**: BCG and Bain are founded; number of consultancies grows as consulting services increasingly become a part of doing business among bigger firms
- **Late 20th & early 21st Century**: As the profession matures, many industry-, function- and even country-specific consulting firm appear (oil & gas, retail, finance, high-tech; product development, market research, strategy, HR consulting; and more)



General Structure of the Industry (stylized)



Main types of consulting firms:

- <u>Generalist firms</u>
  - Strive to provide the whole range of management consulting services (strategy, operations, marketing, finance, org. redesign etc.), to all industries, across a wide geographical range
  - Typically larger firms, with long track record and substantial accumulated knowledge base
  - Usually multi-regional office array, covering both developed and high-growth emerging markets
  - Often structured around industry and/or function practices, to better leverage personal experience

- <u>Specialized firms and boutiques</u>
  - Typically smaller firms, usually founded by ex-partners from larger generalist consultancies
  - Structured around in-depth expertise and knowledge in either specific functions (strategy, marketing, finance etc.) or industry
  - Smaller, both in terms of number of employees and geographic spread
  - Usually focus more on developed markets, where such in-depth niche services are in demand

Global trends in Consulting

The Last Few Years

In the late 1990s, aggressive penetration of emerging markets, globalization, privatization and Information Technology drove growth in Consulting, which in some years exceeded 20% p.a.. There was a huge demand for Consulting services, and so Consulting firms were hiring MBAs aggressively on campus. For a lot of firms prior experience in a specific industry or Consulting was not necessary. This led to a vast inflow of new blood into the ranks of different Consulting firms. In hindsight, most firms feel that they over-hired in this boom period.

After this boom period, the growth stalled for a couple of years. Earlier, the Consulting industry was expected to do as well in good economic conditions, as in bad ones. As the ultimate service industry, Consulting depends heavily on the prospects of large corporations. In good economic conditions Consultants could advise their clients on growth strategies, investment projects and due diligences. In bad economic conditions their clients were in need of advice on down-sizing, cost cutting and disinvestments.

However, the rough economy of 2001 and 2002 introduced a lot of uncertainty for the clients of the Consultants. The clients reacted to this by postponing many major decisions. This resulted in a sharp decline in the demand for Consulting services. As fewer projects became available, Consultants had to spend more time waiting for projects ("on the beach"). And as the demand stayed low for a while, most of the firms eventually had to counsel out, or lay off people. Most often, this was the case with employees with little experience, which had recently been hired. In this period all firms scaled down their on-campus recruiting efforts. Some of the firms did not even recruit on campus for a while.

From 2004 onwards, the Consulting firms have begun stepping up their recruiting efforts. All Consulting firms are back on campus and have started hiring again. At present, most offices seem to be working at almost full capacity, and the outlook for the sector on the whole is very positive. The Consulting firms are now recruiting aggressively. It seems that the consulting jobs market has been transformed by a continuous period of strong growth in the UK and the US markets.

The need to grow headcount levels across the industry, combined with declining retention rates for existing staff, are leading many in the recruitment space to compare the market in 2005 with that seen during the dot-com boom. A tighter candidate market and increased recruitment budgets make for quite a parallel with the period in the late 1990s. The missing element in the comparison is that back in the dot-com days the Consulting firms had to compete with an alternative career for candidates - namely joining or starting an e-business. At this moment the firms are competing more among each other and with the Investment Banks for the best candidates. The hiring process has also changed compared with the late 1990s. The firms are taking fewer risks than back then: fewer offers are extended and students with a strong industry or a consulting background have a clear advantage.

It doesn't seem to be a bad moment to join a Consulting firm: the outlook for the industry is good, the bonuses are back, there is no beach time and there is a huge pile of interesting assignments.

<u>**Main emerging trends**</u>:

- **Specialization**
  - Clients not willing to pay for the "education" of the consultants
  - Increased sophistication of clients
  - Competition from specialized firms
  - Growing firm focus on recurring revenues, often by switching to IT consultancy (e.g. Accenture) and Business Process Outsourcing
    - Tata Consulting now a major worldwide player
    - <u>Not particularly profitable</u>
      - Little differentiation (though scale matters)
      - Consultants find running BPO boring (=talent loss, attrition)

- **Implementation**
  - Greater focus on implementations, theoretical recommendations not sufficient
  - Growing tensions within the profession (e.g. EDS & AT Kearney)
    - Strategy consultants lack powerhouse information technology skills
    - Systems players have a hard time convincing clients they can think "outside the box."

- **Cyclical nature of consulting**
  - Consulting revenues highly dependent on prospects of large corporations
  - Similarly, types of studies change with the economic situation (e.g. more cost cutting projects in recession times)

- **Pay for performance and Measurable Business Results (MBRs)**
  - Especially true during the dot-com boom, some firms agree partial/full equity payment
  - Clients demand more <u>tangible results</u> and <u>pay according to a performance</u> measure (e.g. cost savings)

- **China trend**
  - The market for Consulting in China is growing extremely rapidly, and is expected to continue doing so at a fast pace. Most firms have a strong focus on China for growth, but there is a difference among the firms with regard to the aggressiveness with which the market is entered.
  - Another issue in this specific market is the high turnover rate of local employees. A large number of these former employees have started own small Consulting firms. This trend has led to a fragmented market in China, with hundreds of small and medium sized firms.

Profiles of Consulting Firms

Bain & Company

- Bain was founded in 1973 by an ex-consultant of the Boston Consulting Group. The company culture is less academic and very result oriented.

- One aspect that sets Bain apart from other leading Consulting firms is that Bain has a strong presence in providing Consulting Services for Private Equity clients. In the German market Bain is the leading consultancy in this field, mainly advising the buyer side. Part of these projects come from the spun off company Bain Capital. Bain Capital is a private investment firm with over $25 billion in assets under management. Bain Capital's family of funds includes private equity, venture capital, public equity and leveraged debt assets. Bain Capital is independent from Bain, but consultants can be temporarily transferred from Bain to Bain Capital.

- A Consultant at a German office indicates that on average ten percent of the projects take place outside Germany. Most of this international work is project driven, and related to the clients' operations outside Germany. These projects are usually staffed with a German team, which has strong understanding of the client operations. Another possibility to increase international exposure is the demand of a temporarily transfer to another office (usually for a period of six months).

- The allocation of consultants in Germany takes in place on a country wide basis. This is, to a lesser extent, also true for the only other German speaking office in Zurich. Both the German and the Swiss markets seem to be growing for the company. In Europe, Bain already has a strong presence in the United Kingdom.

- In most regions, Consultants work on one assignment at the time. This is different for some of the North American offices where Consultants have two projects to focus on. An INSEAD alumnus indicates that in the last years, an average of 25% of the time was spend creating proposals to obtain new projects.

Booz Allen Hamilton

- The strategic management consultancy firm is privately held by approx. 250 partners. Founded in 1914, it employs more than 17,000 people on six continents and had annual total revenues of $3,3 billion in FY'05. Revenues have grown significantly over the last year in all geographies

- It's motto reflects its pragmatism: "works with clients to deliver results that endure"

- Booz Allen provides services to the world's leading corporations, government and other public agencies, emerging growth companies, and institutions on their global and local strategies. The firm works with e.g. 70 of the world's largest companies, over 400 of the Fortune 500 companies and with governmental agencies and policy makers around the world.

- Booz Allen's major areas of expertise include: strategy, organization, operations, systems and technology. The firm offers service offerings that span corporate and business unit strategy, customer and channel strategy, post-merger integration, performance improvement, organization design, trading and risk management.

- Booz Allen Hamilton has always positioned itself as offering a deep understanding in both strategy ánd technology. Booz Allen sustains that their teams, with decades of hands-on experience for corporate and governmental institutions, are differentiated and highly valued by clients. Competitors have recognized the major advantages for clients of this integrated, cross-functional approach and are following suit.

- The firm has a strong presence in the Energy, Consumer&Retail, Telecommunications&Media, Transportation, Operations and Financial Services sector as well as in cross-industries functional practices such as IT, Operations and Organisational Change.

- The company operates with one profit and loss account to create incentives to form project teams with the best expertise from different offices. In practice, this results on more international exposure and experience for the consultants, with as downside more travel days.

- INSEAD Alumni are very enthusiastic about the company culture. They describe the culture as fun to work in, "very diverse" and "intellectually challenging". They are very keen on social activities organized by the offices, as well as on the flexible work models emerging (e.g. part-time working for men and women).

- In Europe and the Middle East, INSEAD has a strong reputation at Booz Allen, with almost 100 alumni registered on our alumni directory currently working for the firm. Alumni have indicated that Booz Allen has a strong focus on INSEAD as recruiting target.

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- The company splits its operations into Worldwide Commercial Business and Worldwide Technology Business:
  - *Worldwide Commercial Business*
    Works with the world's leading corporations on their global and local strategies. This business serves 70 of the world's largest companies, over 400 of the Fortune 500 companies. Major areas of expertise include Strategy, Organization, Operations, Systems and Technology.
  - *Worldwide Technology Business*
    Works with most Western governmental agencies, and with institutions and governmental organizations worldwide, providing a broad range of management consulting, engineering, information technology, and systems development/integration services. Main clients are US governmental agencies (US Army, Air Force and Ministry of Defence and Transportation agencies)

- Booz Allen Hamilton positions itself as offering a deep understanding in both strategy and technology, where other top consulting firm used to be focused more on just strategy. This difference may be perceived as slightly less significant with most of their competitors catching up and setting up technology knowledge centres in their organisations in the last years. However, Booz Allen sustains that their teams, with decades of hands-on experience for corporate and governmental institutions, are differentiated and highly valued by clients

- Booz Allen Hamilton has a very strong position in the energy sector. The company delivers a comprehensive energy service offering that spans corporate and business unit strategy, customer and channel strategy, post-merger integration, performance improvement, organization design, trading, and risk management. Among the firm's clients are all global oil companies; local and regional utilities in Europe, the United States and Latin America; chemicals and petrochemical companies; financial investors; and policy makers.

- Equally important is their positioning on the Telco, Media and Automotive sectors as well as in cross-industries functional practices such as IT, Operations and Organisational Change.

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Boston Consulting Group (BCG)

- BCG was founded in 1963 by a chap called Bruce D. Henderson. Ever since, BCG viewed its focus to be on helping clients achieve competitive advantage. The core of BCG's work has been summarized as the "virtuous cycle of insight, impact, and trust".

- BCG has been pivotal in establishing that sources of competitive advantage can be systematically explored and applied. Classics include the Experience Curve, Growth-Share Matrix, Advantage Matrix, Time-based Competition theory, the Capabilities-based strategy framework.

- Despite these frameworks, BCG's view is that best practices or benchmarks are rarely enough to create lasting value. Instead, each assignment is viewed as working with the client towards a bespoke-tailored solution, accounting for the unique set of opportunities and constraints of the specific setting. For the newly hired MBA on the job this in practice can mean having the satisfaction and excitement of helping a client break new ground or, the flip side, the pain of laboriously re-inventing the wheel…

- BCG serves virtually all industries and is organized along the lines of industry practices (financial services, consumer goods, pharma, utilities, …) and functional practices (strategy, organization, …). A large fraction of BCG's clients are blue-chips with whom BCG has long standing relationships.

- Reflecting its global client base, BCG is one of the very few management consultancies with a genuine local presence around the globe. The firm identified early on the increasing importance of Japan as a breeding ground of alternative professional management techniques, and opened its first non-US office in Tokyo in the late 1960's. BCG has been present in greater China since 1990. In the 40 years since its inception, BCG has grown from its Boston base to span the globe, serving the Americas, Europe and Asia with a total of 59 offices in 36 countries and approx. 2600 consulting staff (and counting).

- INSEAD needs no special introduction at BCG. INSEAD has historically been a recruiting pool for BCG and the long list of alumni include the current heads of BCG's Munich, London and Vienna offices.

- Since the bursting of the dot-com bubble and the ensuing consulting industry's nose-dive, BCG has returned to its stable trajectory of growth. In 2006, BCG is actively seeking to recruit for all regions. BCG does not generally recruit MBAs for one particular industry sector. Instead, consultants are allowed to (and expected to be flexible enough to) work in various settings. Specialization then usually evolves over time. Having said this, special know-how or areas of interest are appreciated. Generally, knowledge of the local language of the BCG office of choice is required. For exceptions to the rule contact BCG's recruiting.

- In 2005, BCG was ranked number two in the Vault Guide to the Top 50 Consulting Firms, and ranked 5th of the most favourite employers in a survey of 4,700 US MBA students. In 2006 Fortune "100 best companies to work for" BCG ranked 11th, well ahead of other banks and consultancies.

- Apart from its heritage of conceptual, strategic thinking, BCG believes one of its key differentiating factors to be its people. Clients and colleagues alike characterize BCGers to be smart, personable, open, and not arrogant. Ultimately, this something applicants have to judge for themselves. Job interviews are, as many things at BCG, very individualistic. You are unlikely to hear anyone ever refer to a "BCG-way". Usually, the interviewer will describe a situation he personally encountered at work in form of a small case study. Cases are not drawn from central databases, as with other consultancies.

- Commensurate with the consulting lifestyle, expect plenty of travel, becoming a general generalist, and the lack of "real" operational responsibility. Redemption comes in the form of immense satisfaction in dealing with reliable and trustworthy colleagues, backed by a strong Brand name. Career prospects are wide open and range from rising within the firm, to joining client businesses while joining a strong alumni network.

McKinsey & Company

- INSEAD's largest recruiter, McKinsey is a Consulting Industry powerhouse that has around 83 offices spread across 45 countries. Founded in 1926 by James O. McKinsey, it has grown into a global partnership serving three of the world's five largest companies and two-thirds of the Fortune 1000. The legendary Marvin Bower (the Managing Director from 1950 through 1967) is credited with giving the Firm its present form and is considered by many to be the father of Management Consulting.
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- With 18 Industry Practice groups and 6 Functional Practice areas, McKinsey helps business leaders worldwide address their greatest challenges. It serves its clients by applying a handful of core principals to every client engagement: working with the clients and not for them, bringing the best of the firm to each client, taking a top management perspective, establishing a solid fact base, and preserving confidentiality.
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- Talent is very highly valued at the firm - the McKinsey mission statement includes serving clients, as well as creating a place where talented people want to work. According to their website, McKinsey seeks individuals with outstanding character, a sharp analytical mind, and the ability to work effectively with people at all levels in an organisation. To ensure the quality level is maintained, there are various training programmes and an ongoing, frequent review process which is tied in to a strict 'up or out' policy.
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- For more information about McKinsey and the INSEAD recruitment, please go to www.mckinsey.com/insead

Marakon Associates

- Founded in 1978, Marakon is a 'big small' Firm in the Consulting industry. It has around 250 to 300 Consultants globally across five offices (New York, London, Singapore, Chicago and San Francisco), and it is clearly focussed on Value Creation by working closely with the CEOs, other corporate executives and business unit leaders across F500 companies.

- Marakon's small size and unique methodology of collaborating with clients on projects means that it is able to develop richer client relationships at the highest levels, and to engage on issues that drive their performance and long term value. In 2004, trade publication Consulting Magazine dubbed Marakon co-founder Jim McTaggart one of its "Top 25 Consultants."

- Marakon has expertise in what it takes to create exceptional value over time, and is aligned along Practice Areas like Strategy, Execution, Organic Growth, Growth through Acquisition, Productivity, Leadership & Organisation and Managing for Value.

- Due to the methodology and nature of projects, Consultants typically work on one project at a time. This collaborative methodology also means that project durations tend to be longer compared to the rest of the industry (up to 4 – 6 months in some cases). Any spare bandwidth is used for contributing to an area of expertise or in client development activities.

- A smaller global organisation means that there is a higher chance of getting international assignments, if the Consultant so desires. A smaller team at the office level results in Consultants getting to know their colleagues on a personal level. With an emphasis on people development, a structured development plan is supplemented by regular training sessions.

- Work hours and travel are similar to other firms, and project teams are expected to implement travel norms of not being at the client site for more than 3 days a week. Another area that sets Marakon apart is its emphasis on sustaining and fulfilling a work-life balance. Many Consultants make use of the 10+2 system, which involves working on projects for 10 months of the year, and taking 2 months off as personal time.

LEK

- LEK, with 450 Consultants across 16 offices worldwide, competes with the likes of Bain, McKinsey and BCG for projects. According to an INSEAD alumnus, the people, the size of the firm, and a culture of client service and delivery is what distinguishes them from other Consulting firms.

- LEK engages in rigorous fact based analyses, plain speak, and a fresh perspective (they start from scratch vis-a-vis the other firms which have set templates). A high degree of Partner time commitment and thorough analysis of various available options are some of the reasons why clients choose LEK over other firms. The other thing to note is that L.E.K. has the second largest strategy consultancy practice in the U.K. (after McKinsey).

- Most of the current business for LEK is in Europe and the US. The firm has recently opened new offices in Asia Pac and is currently concentrating on growing business in these as well as expanding in Europe and the US.

- They work on a 50-50 model in the London office (which means that each consultant splits his or her time equally between two projects), while in the US they follow a 100% staffing model. The typical engagement can last from anywhere between 2 weeks (for a due-diligence type of assignment) to a few months.
- There is very little chance of spending any time on the beach at LEK. If at all there is a requirement that Consultants have to be kept 'idle' because a project has not yet kicked off, that time is utilized in working closely with Partners on client development activities.

- The official work hours are 49 hours per week and the average can range from anywhere between 56 – 60 hours weekly.

- LEK does a lot of work related to M&A and Private Equity transactions. As a result, many LEK consultants end up working with Private Equity companies and Investment Banks after leaving the firm. Other consultants leave the firm to join other Consulting firms, strategy groups within large business houses, and general management assignments – all in senior level management positions.

- At the last count, 6 out of 20 partners in the London office are INSEAD alumni. To top that there are a number of people at the Managerial and Consultant level who have studied at INSEAD. INSEAD is considered in line with all other top MBA schools within LEK. With the market currently on the upswing for Consulting, it seems to be a good time for looking at LEK as an attractive option.

Mercer Management Consulting

- Mercer is a subsidiary of Marsh & McLennan. It consists of eight consulting arms: Mercer Human Resource Consulting, Mercer Investment Consulting, Mercer Management Consulting, Mercer Delta Organizational Consulting, Mercer Oliver Wyman, Mercer Government Human Services Consulting, National Economic Research Associates, and Lippincott Mercer Identity & Brand Strategy Consulting. Mercer was born in 1992 when parent company Marsh & McLennan merged two of its consulting subsidiaries, Temple Barker & Sloane and Strategic Planning Associates.

- Mercer Management Consulting is an aspiring top-tier strategy consulting firm that is an industry leader in customer-driven growth strategies. Growth has been a big part of Mercer's business strategy; the firm has acquired and merged with several consulting firms since 1993. Together, the firms of Mercer Inc. have 15,000 employees in more than 40 countries throughout the world. Mercer is able to enhance the value it delivers to clients by accessing the resources of its parent, Marsh & McLennan Companies (MMC), including Marsh Inc., the world's leading risk and insurance services firm, and Putnam Investments, a recognized leader in investment management.

- Mercer Management Consulting competes with the top consulting firms, such as McKinsey, Bain, Booz Allen Hamilton, and BCG, for talent. In Europe, Roland Berger shows up as one of their competitors. Mercer is strong in aviation, navigation, media, communication, retail, and energy.

- Mercer's U.S. offices are the largest. They have offices in Europe, and have presence in Asia. Like other consulting firms, they are not active in Africa. Mercer sees higher growth outside of U.S. in the upcoming years.

- INSEAD has a strong reputation at Mercer, despite the limited number of graduates in the U.S. offices. In the past few years, INSEAD's US alumni association has done a great job in creating brand awareness in U.S. With the Wharton alliance, INSEAD's name becomes better known.

- There is no typical engagement at Mercer. The project ranges from 1 week to 1 year. Usually a consultant gets pulled out of a project that lasts about 6 months. Each consultant works on at most one project at a time. Currently, there is no beach time.

- INSEAD alumni claim that the company discourages consultants from working over the weekend. Consultants tend to travel four days a week and work in the office on Fridays. They experience the environment at Mercer is very relaxed, non hierarchical, and fun.

- Mercer does have off-cycle hiring. It usually brings in people by recommendation and by initiative. Mercer prefers candidates who have some consulting backgrounds.

Roland Berger

- Roland Berger is the biggest Consulting firm with a European origin. The firm was founded in 1967 by the German Roland Berger, an ex-consultant of Boston Consulting Group. Nowadays the company advises governments and large companies from over 30 offices in Europe, Asia and the Americas.

- Compared to other Consulting firms a larger percentage of the employees at Roland Berger are trained as engineers, natural scientists or doctors. A comparatively small percentage of the Consultants have a MBA degree. The projects in the company can have a focus either on strategy or on implementation. The company is organized into different competence centres. It seems that cultures between these centres can be quite different (even within the same office).

- 2004 was a difficult financial year for the firm, but 2005 has start off very well. Certain markets – notably China, France and Japan – have seen Roland Berger achieve strong growth in the last year. But others – most notably Germany, UK, USA and Austria have had their problems. In 2004 the company had a flat growth rate compared on an average year-on-year rate of 18% over the past 30 years. It seems that the turbulent market for strategy consulting and in particular problems in some of the geographical markets (UK and US) that have hindered the firm's growth this last year.

- Looking at the global picture, Roland Berger has retained its position as the second largest strategy consultancy in the German market, behind McKinsey and ahead of Boston Consulting Group. For Roland Berger the German market is of key importance, as it provides the reputation and finances that are the pillars of their global business.

RSM Robson Rhodes Business Consulting

- RSM Robson Rhodes Business Consulting has been rated as one of the world's top 20 consulting firms to watch in 2005 in an article by Consulting Times (February 2005). They have enjoyed a growth rate of 400% in revenues from the past year (2004) and have a target recruitment growth of 30-50 new hires over this year.

- RSM Robson Rhodes Business Consulting focuses on some core industries and areas, and at present, has no plans to expand these areas. They are keen to further develop expertise in Telecommunications, Utilities, Central Government and Financial Services, both in the UK and across Europe.

- Clients choose RSM Robson Rhodes because they link meaningful and actionable customer understanding and insight, rigorous fact-based strategic analysis, and a continuous involvement of client teams to co-develop transformation agendas that deliver significant benefits to both top and bottom lines.

- The Consulting teams at RSM RR BC form an international team derived from a variety of backgrounds, including blue-chip companies and Consultancies. The founding Partners have a successful history of setting up new consulting business units and Richard Koch (the 'K' in LEK) is their current Chairman.

- A Consultant here typically works on one client project at a time. These engagements range in length between 2 months and about 6 months, depending on the nature of the project. Pure strategy projects tend to be shorter, 2-3 months, whereas transformation projects could go on for longer.

- When Consultants work on internal projects or proposals, they usually combine 2 or 3 pieces at a time, which can be business development or marketing activities, proposals or contributions towards developing specific points of view. Since they are a growing business, they expect all their Consultants to help in this process, through thought-leadership and helping out on pitches.

- INSEAD alumni at the firm appreciate the positive team environment, which is committed to fast-track growth and building a business. RSM RR Business Consulting looks for people who share an entrepreneurial and motivated spirit, which contributes to building a dynamic team.

- There are only two business schools that RSM RR BC is focusing its MBA recruitment activity on, and INSEAD is one of them. They have had very good experiences with the quality of candidates from INSEAD in previous recruitment activities and they intend to continue to seek talent from INSEAD.

4. The Post-MBA Consulting Job

Typical Career Progression Path

Business Analyst	Associate / Consultant	Project / Engagement Manager	Associate Partner/ Project Director / VP	Partner / Principal / Director
• Pre-MBA entry level position • Typical responsibilities include: data gathering, data analysis, document creation, modeling, admin & coordination, interviewing, problem solving within team • Generalist role	• Post-MBA entry level position • Typical responsibilities: if no prior consulting background - initially very similar to bus. analyst type responsibilities; with time and experience - growing focus on leading Bas, oversight, workstream management, greater client interface • Mainly generalist	• Main middle-management function in consulting • Typical responsibilities: workstream planning and execution, team leadership, scheduling and time management, key client interface for project, relationship management and some client development • Expertise building	• Pre-partner position • Typical responsibilities: professional support and oversight on projects, client relationship management and development, sales and marketing, function and/or industry expertise building • Recognized expertise	• Leadership position • Typical responsibilities: core-client relationship management, business development, sales & marketing, office / practice / firm / thought leadership, internal initiatives, firm policy and development • Office/practice leadership
2 years	**2 years**	**2-3 years**	**2-3 years**	**???**

Everyday job – Key tasks

- **Information gathering**
  - Interviews (clients / internal / external)
  - Synthesize research reports, market research, previous work done by firm in this area, public sources, etc.

- **Quantitative Analysis**
  - Financial and operational modeling, business plan scenarios, benchmarking, etc.
  - Statistical analysis (e.g. market segmentation)

- **Workshop facilitation**
  - Designing, organizing, preparing, staffing client workshops
  - Facilitating and debriefing
  - Synthesizing findings and incorporating them into recommendation
- **Process management**
  - Designing and execution workstream processes,
  - Both internally (within project team or alone) and externally (involving client personnel)

- **Client presentation**
  - Preparing documents (slides and reports)
  - Presenting findings to clients

- **Client management**
  - Ongoing relationship throughout project

- Building long-term relationship post-project
- Assisting in drafting letters of proposal

How the Staffing Process Works

- **Generally, project staffing is preference-based, but with some external constraints**
  - It is in the firm's interest that you get staffed where you want to be
  - However, **pure luck** (i.e. having the right opportunities at the right time) plays a <u>major</u> role, <u>especially initially</u>, before you acquire expertise and generate demand
  - Therefore, you must **manage your luck:**
    - **Network** - up, down and sideways
    - Identify what interest you and **specialize** in it ASAP
    - Consider your willingness for in-town / out-of-town engagements

- **Staffing focus for first few studies**
  - **Learn** - target **variety** of engagements
  - Identify and get to know good "**teachers**"
  - Get **exposure** to the industries you are interested in
    - Develop your personal **interest** and **knowledge**
    - Identify and connect with **mentors**

- **Staffing focus for the long-run**
  - Stay close to your **mentor**
  - Beware of "glamorous" engagements – focus on the growth value for you
  - Formulate mid to long-term plans
    - Focus on true **personal interests**
    - Think about long-term **networking with clients**
    - Keep in mind **exit opportunities** if you do not wish to stay in consulting all your career

5. Informational Interviews

A good start to the job search is to conduct several informational interviews with employees of companies in which you are interested. The goal of these interviews is to increase your understanding of this company, to make a better decision whether to apply and will serve as a good preparation for the application process.

Informational interviews are useful to

- Learn what the company values in its employees
- Gain insight in the process of recruiting
- Evaluate how your Skills and interests fit with a particular career or business.
- Learn about the working environment and office specific culture.

Tips

Contacting people to interview

- Try to set up informational interviews with INSEAD alumni (1 - 5 years out of INSEAD) as they can easier relate to you as a INSEAD student and are usually willing to give you a hand;
- The INSEAD Alumni Database is a rich source of information that can be used to contact the alumni;
- Clearly indicate where you got the person's name;
- Make it clear from first contact that you are <u>not</u> contacting for a job, but rather to gain further insight into the company as part of your research on the industry.

Preparing for the interview

To make best use of your interview time, know in advance what questions you are going to ask. For example, you might want to ask:

- What is a week on this job really like?
- What do you like about your job? What do you dislike about it?
- Is your job typical of others in this field / for this company?
- What is the corporate culture like at the company, and at the particular office?
- Which firms do you think are your toughest competitors in your local market, and how do they differ from your company?
- How do you stay current in your knowledge?
- What kind of experience or training is required?
- What are employers looking for (in terms of skills, education and experience)?
- What is the potential for advancement?
- What are current job prospects like?

Conducting the interview

The person with whom you are meeting might be a valuable contact. So, even though this is not a job interview, you want to make a good impression:

- Dress professionally.
- Take notes.
- Stick to the time limit that you agreed on when you set up the interview.
- Ask for a business card for your records.
- Thank the person for taking the time to meet with you.

Following up

Don't forget to send a thank-you note. A business card will contain the information you need to be sure the note is delivered to the recipient.

6. Cover Letter & Resume Preparation

The Goal of your CV and Cover Letter

Your CV and Cover Letter are one of the key medias you have to effectively communicate the qualities Consultancies typically look for:

Skill	Description	How to know?
Leadership & Impact	Proven track record of "making things happen", leading people in complex challenges and achieving substantial results	CV: Achievements (numerical indicators), responsibilities, number of people managed, development curve
Quantitative skills	Comfort with numbers and ability to meet numerical challenges	GMAT, quant background, past accomplishments, back of envelop calculations during case interview
Analytics & Problem solving	Logic-based problem structuring, analysis and synthesis capabilities	GMAT, past accomplishments, case interview
Communication	Ability to effectively convey messages both orally and in writing, especially in high-stress situations	Previous communication roles and achievements, clear communication during interview
Teamwork	Ability to function well in a team setting, both as a team-member and as a team-leader	Teamwork history, development curve (time & number of people), interviews & simulations

Your CV (Resume)

Your CV is one of the key medias you have to effectively communicate the qualities Consultancies typically look for:

- Leadership & Impact

- Track record & advancement path
- Increasing responsibilities over time
- Unusual/outstanding responsibilities and challenges
- RESULTS – preferably concrete quantifiable impact ($$$, time etc.)

- Teamwork

- Number of people you've worked with and how that grew over time
- Functioning in various team-oriented structures (team-member, leader etc.)
- Successfully coordinating cross-functional/organizational efforts

- Communication

- Previous communication-related functions and responsibilities
- Accumulated communication-related experience, e.g. preparing, writing, editing and/or presenting written and/or oral communications

- Problem solving

- Analysis-focused or related activities, functions and responsibilities
- Problem-solving track record, e.g. specific problem-solving tasks you were in charge of or involved in – including the result (preferably successful…)
- Specific problem-solving initiatives you have self-started and concluded successfully (impact)

- Quantitative skills

- Number-related functions/activities/responsibilities performed
- "Objective" criteria, e.g. GMAT, academics, awards etc.

CV Tips

- Leverage MBA Career Services CV sessions to get feedback both from CS reps and your peers.
- Then, use the MBA Career Services one-on-one CV sessions to polish up your resume.
- Think carefully about which of the three typical CV formats (Chronological, Skill-Based or Hybrid) you should use – there is no one "right answer" for everyone.
- Ask your peers (especially those with prior consulting background) to review your CV before submission

Cover letter

Generally, Cover Letters are intended to answer the four following basic questions – usually in on paragraph per question:

1. What is the purpose of this letter?
2. Why should the company in question consider you?
3. Why does this company interest you?
4. What action do you want the reader to take next?

Cover Letter Tips

- Do not copy letters or pieces of letters from sample sources. Recruiters do recognize them.
- Unless absolutely necessary, do not exceed one page for the cover letter
- Most cover letters follow a simple structure, with ideally one paragraph for each question below:
    - What is the purpose of this letter?
    - Why should the hiring manager consider you?
    - Why does this company interest you?
    - What action do you want the reader to take next?
- Do not use any fluffy or generic statements about yourself or your experiences (e.g. excellent interpersonal skills, team player) unless you can back them up with tangible examples
- Do not use generic statements about the company you are applying to (e.g. leading firm, excellent reputation, blue-chip company etc). For one, this also applies to most of their competitors. For another, this shows that you have not done your homework to identify why you really want to join the company
- Get your cover letter read by at least two other people to check for spelling mistakes, grammatical errors and ease of reading
- Use informational interviews rather than company presentations and websites to find out what is really different about each firm, and why you would be a good fit

Sample Cover Letters

Sample Letter 1

INSEAD
Boulevard Constance
77305 Fontainebleau
France

INSEAD Recruiting Manager
Company Name

Dear *Name*,

I am writing in order to express my interest and enthusiasm in applying for an Associate position at *Recruiting Company Name*. As I informed you last week, I was unable to attend either the presentation or the dinner on *date*. However, my brief chat with *x* last week was both informative and inspiring.

I came to INSEAD after spending six years in a fast-paced, highly entrepreneurial metal trading and processing company, *Company Name*. The experience was extraordinarily rewarding, affording me the opportunity to establish, build, and manage two companies in the challenging environment of the Former Soviet Union. With full managerial, commercial, and financial responsibility for these two subsidiaries, I faced a remarkable range of challenges and rapidly developed my personal and professional skills. I decided to apply to INSEAD in order to continue this process while receiving the theoretical framework for all that I had been doing during my time at *Company Name*.

The ideal environment for me to pursue this development further is in management consulting. *Company Name's* prestige and reputation are unparalleled. However, what has been seminal in convincing me to apply for a position is the many people I have met from the company; extreme intelligence, strong ambition, intellectual integrity, and insatiable curiosity are common to all. Who could provide a better understanding of a company than its employees?

Both my strong academic background and my professional accomplishments attest the fact that I possess the analytical abilities, interpersonal skills, motivation, and business acumen to make a strong contribution to *Recruiting Company Name*.

I would greatly appreciate the opportunity to interview later this month for a position in *Office 1, Office 2, or Office 3*.

If can be of any assistance in the meantime, please do not hesitate to contact me.

Sincerely Yours,
Name

Sample Letter 2

Dear Sir or Madam,

I am currently enrolled in INSEAD's MBA Programme, and will complete my degree in December of this year. As a result of my prior education and work experience in research, I am interested in pursuing a career in Consulting, and particularly with the *Recruiting Company's place* office.

After nearly four years at *company name*, I feel I am extremely well-suited for a demanding career solving key business issues for global managers. I am especially interested in exploring a career in Consulting because I believe that my background in Investment Research, provides me with a unique perspective and a distinctive internal familiarity of industry competition and corporate strategies. At *company name*, I combined financial acumen, leadership, and project management skills to reach a level of success rare for someone entering the firm at a junior level. In the spring of 2003, I became one of only two people in my Associate class of twenty-five to be asked to stay on at the firm, and was promoted to an Analyst position. Early on, as I demonstrated my skills and tenacity to my team, I was entrusted with numerous important responsibilities and frequently interacted with senior executives at the firm to present my research and conclusions. My strong reputation has followed me even outside of the bounds of employment, and I continue to be consulted by *company name's* senior management regarding current issues at the firm even while I am pursuing my MBA studies.

My superior undergraduate education at the *School Name* gives me an advantage over those among my peers who did not seek out formal and rigorous business and financial training. While at INSEAD, I am building on my prior financial experience and increasing my management skill set through class work and instructional team-building exercises.

Although my experience has been in Investment Management, my current focus is Consulting. I have enjoyed and learned a great deal through my research work, but I am much more interested at this point in my career to develop my strategy and management skills. I believe that the research-based work experience coupled with my general management MBA give me an important skill-base that can be successfully applied in this environment.

My GMAT score was *xxx*, and I would specifically like to be considered for the *place* office, with a backup choice in the *place* office.

I have included my resume for your review, and please do not hesitate to contact me if you require further information from me.

Kind regards,
Name

Sample Cover Letter 3

Dear *Name*,

Currently in the process of completing my MBA degree at INSEAD, I had pleasure to meet with your team at your on-campus presentation. Having followed your company and influenced by your diligent, collaborative, and practical style and devotion to provide sustainable, responsible and non-conventional solutions for the customers, I am convinced that *Recruiting Company Name* will be the ideal workplace both professionally and personally matching someone with my background, competencies, and values. The meeting with the partners and other *Recruiting Company Name's* consultants at the dinner reinforced my belief that your company commits to provide its members a combination of international and stimulating environment, diversified business contexts, unique learning and skill development opportunities, and progressive career track. I therefore decide to apply for the associate position at *Recruiting Company Name*.

My personal, academic, professional profiles and pursuits have allowed me to develop a solid band of analytical, strategic, problem-solving and people skills, which make me a good candidate for your company. A Chinese, living in Europe (EC citizen), and carrying the responsibilities for strategic planning, marketing, operation/distribution management, and business development for *Company Name*, one of the biggest Japanese multinational companies, such a complex environment has helped to shape me into who I am: a dedicated, open, self-aware, interesting and interested person. It also fostered my ability to thrive in high-pressure situations, to embrace new challenges, and to assimilate quickly and flexibly in different cultural and business contexts.

Having successfully coordinated the marketing and sales departments to jointly develop *Company Name*'s Pan-European market channel strategy, I was promoted to lead the corporate planning department – a cross functional team responsible for the entire spectrum of our organization. Realizing that customer satisfaction and loyalty are instrumental in making our company profitable and sustainable, I led the team to design and implement the customer integration program linking our value-creating functions with the downstream processes at our customers. With this approach, we succeeded in implementing the customer retention and acquisition strategies, laid a solid foundation for the subsequent pan-European supply chain project, established entry barriers, and sustained our company against competitions and grey market distortions.

To successfully lead the implementation of *Company 2 Name* operation excellence project became my most recent achievement. The internship project was challenging due to the reason that my deliverable was not simply a report with recommendations, but a clearly defined goal to be achieved through concrete implementation – 20% efficiency improvement within 3 months. Rather than analytical and IT competencies, the success of this project hinged to a great extent on the skills to work in teams and to communicate. Without the willingness and the ability to work with and through people, I would have never outperformed the target – 30% cost reduction within two months and a fully integrated performance monitoring system to facilitate the process optimization.

The contrast between employment and entrepreneurship is the contrast between convention and innovation. To be able to observe and firsthand-experience this contrast through two major entrepreneurial undertakings (retail and web publishing and E-commerce) is insightful that it helped me understand not only how tribulation produces endurance which in turn gives approved condition and hope, but also how such an entrepreneurial spirit inspires leadership, risk taking, improvement, creativity, and change when I worked as an employee.

With career aspirations related to the world of consulting, I come to the table with industry, finance and entrepreneurial experiences, a broad international exposure, a rigorous cross-domain academic background and strong language capabilities. After INSEAD MBA, it is my aim to go on to a successful consulting career by combining and extending these skills and learning into a management position with more explicit project management and business development requirements. It is my determination to work with a committed team to achieve the goal of creating value for the clients thereby reaching their strategic and financial objectives.

Thanks to the above-mentioned attributes and my personal determination, I am convinced that I would prove a valuable contribution to *Recruiting Company Name*. I look forward to your response to the above and the attached CV, and sincerely hope to meet with your recruitment team in the near future to explore potential mutual interest.

Yours truly,
Name

Sample Resumes

Sample Resume 1

Name

Date of Birth
Nationality
Contact Details Email: x.x@alumni.insead.edu
Mobile: +33 6 81 16 19 10
Address INSEAD, Boulevard de Constance, 77305 Fontainebleau, Cedex France

PROFESSIONAL EXPERIENCE

1997 – 2003 ***Company Name*** – US-based group focused on the trading and processing of secondary metal products with offices in xx.

POSITIONS HELD

1998 – 2003 ***Company Name Subsidiary*** – Founder & General Director ***1) Location***
1997 – 1998 ***Company Name Subsidiary*** – Commercial Director ***Location***

KEY SKILLS/ACHIEVMENTS

Leadership and Business Development

- Established subsidiary in 1997
  - Initiated and led $2 million investment in *country* metal processing facility on a green-field site
  - Assembled and trained staff of 50 in *country* operations
  - Consolidated Group's global logistics departments into single department in *country*
- Established subsidiary in *location* in 2002
  - Assembled management team in Russian operations
  - Directed initial stages of terminal development project in *location*
- Successfully brought all production for industry group "in house" tripling profitability
- Developed and implemented quality control procedures for entire *Company Name* Group

General Management

- Managed *country* operations with up to 50 employees and a monthly cargo turnover of up to $10 million
- Oversaw *country* operations with up to 40 employees and a monthly turnover of up to $8 million
- Led company through periods of both rapid growth and severe reductions
- Functioned as key mediator *x and x* offices

Commercial Experience

- Negotiated and managed sales contracts with clients accounting for 80% of Group's sales
- Traveled regularly to negotiate and/or troubleshoot with clients in Western Europe, CIS, and Asia
- Monitored and facilitated nickel-hedging for stainless steel division of Group

EDUCATION

2004 ***INSEAD*** – MBA Program ***2) Fontainebleau /Singapore***

1994 – 1996 ***School Name & studies*** ***Location***
1989 – 1994 ***School Name & studies*** ***Location***
1992 – 1993 ***School Name & studies*** ***Location***

LANGUAGES

OTHER EXPERIENCE

1998 – Present	***Babad Fund*** – Board of Directors – Founding and oversight of a small, non-profit organization that arranges for the schooling of girls in a village in *country* on a level above that available locally.
1998 – Present	***Football Club*** – Financial oversight, sponsor, and fan of children's football club in *country*
1997	***Publication*** -
1993 – 1996	***University*** – Led research project in theoretical chemistry
1993	***University*** – Summer research assistant in quantum chemistry

PERSONAL INTERESTS

Sample Resume 2

Name
Contact details **Email:** x.x@alumni.insead.edu
Mobile: +33(0) **Phone:** +33(0)
Forwarding address: MBA Class , Boulevard de Constance,
Fontainebleau Cedex, 77303 France

PROFESSIONAL EXPERIENCE

POSITIONS HELD:

Job Title 1 – *Company Name*, USA. May 2003 – January 2004
Job Title 2 – *Company Name*, USA. July 2000 – May 2003

ACCOMPLISHMENTS:

- Used DCF valuation tools to develop investment strategies for the Small Cap US team. Analysed the economic drivers of S&P sector performance and directed the implementation of sector-specific investment processes based on these critical variable analyses. Restructured the team strategy to ensure that economic and market views were deeply incorporated into the portfolios and were aligned with expected risks and returns.
- Performed due-diligence on *x Limited* and *x* Asset Management, two *Company Name* partner firms, as potential acquisition targets.
- Managed the development of a risk comparison model driven by equity market behaviour and the competitive environment of specific asset classes. The CEO and Head of Investments currently utilize this model to assess appropriate risk levels *across Company Name* mutual funds.
- Established metrics for evaluating common equity positions across mutual funds. The CEO, Director of Research, and Head of Investments adopted my framework to manage equity exposures firmwide.
- Co-developed a methodology to ensure appropriate product placement. Worked in conjunction with *Company Name*'s Head of Investments, Senior Portfolio Managers, and Senior Marketing Executives to assess client product needs, investment strategy, and competency in building mutual funds.

RESPONSIBILITIES:

- Presenting research and strategy recommendations to senior management on a monthly basis.
- Conducting multi-style investment strategy research to further the investment knowledge and understanding of *Company Name*'s Portfolio Managers.
- Evaluating and monitoring performance with respect to each Portfolio and Research Team's investment strategy and focus.
- Overseeing critical information management projects pertaining to the Portfolio Analysis Group's monitoring and strategy functions.
- Training and managing new Portfolio Analysis employees under *Company Name*'s Early Career Development Program.

PROFESSIONAL DISTINCTIONS AND MEMBERSHIPS

Chartered Financial Analyst (CFA)
Member of Boston Security Analysts Society, Chapter of the CFA Institute

EDUCATION

INSEAD, Fontainebleau, France.
Candidate for Masters in Business Administration.
School Name.
Bachelor of Science in Economics, Concentrations in Finance and Information Systems.

ADDITIONAL INFORMATION

Sample Resume 3

Resume

Name
Date of birth
Nationality
Contact details Boulevard de Constance, 773 05 Fontainebleau Cedex, France
Tel: +33 (0) , E-mail: x.x@alumni.insead.edu

PROFESSIONAL EXPERIENCE

1997 - 2003 ***Company1 and location***
Job Titles

- In charge of the corporate planning department and led a team of 8 (5 nationalities) to conduct strategic planning, business plan, budgeting, managerial accounting, market research and business intelligence
- Led the supply-chain, TQM, electronic commerce, Nordic merger, and business development projects
- Oversaw relationship marketing activities, facilitated the implementation of vertical integrations and revamped demand planning procedure with major Nordic corporate and cooperative distribution channels
- Successfully coordinated cross-national teams combining skills to accomplish design, development and implementation of Panasonic Europe's SAP R/3 and Intentia Movex enterprise mainframe systems

2004 **Company 2 and location**
Job Title

- Organized and led a cross-functional team to implement the change program and achieved 30% efficiency improvement within two months
- Designed and established management system/tool/database to control and optimize the business process
- Applied activity-based costing approach to re-evaluate segment profitability, customer value proposition and on-going CRM programmes, and recommended strategies for customer retention and acquisition

1997 **Company 3 and location**
Job Title

- Established retail fashion business with 3 retail locations in Scandinavia,
- Developed barter business relationships between Italian and Chinese manufacturers, instrumental for LEI to enhance product line quality and brand image, gain cost efficiency, and eliminate transaction costs

1995 - 1997 **Company 4 and location**
Job Title

- Performed Forex exposure analysis, trading and portfolio risk management using financial instruments to hedge accounting and transactional exposures for corporate clients

1993 – 1996 **Company 5 & location**
Co-founder & Former Stakeholder

- Applied dynamic web publishing & E-commerce technology to create value for clients in terms of new distribution channels, enhanced brand awareness, business process streamlining, and cost efficiency
- Clients:

1987 – 1992 **Company 6 and location**

- Participated in 3 Nordic companies' joint venture projects (building materials, tire retread and wallpaper)

EDUCATION

2004	**INSEAD,** MBA Programme (Awarded xx Scholarship)	**France / Singapore**
2003	**UNIVERSITY & DEGREE**	**UK**
1999 – 2001	**SCHOOL,** Diploma in Enterprise System Design & Development	**Sweden**
1992 – 1998	**SCHOOL**	**Sweden**

Master of Science with Major in Business Administration and Economics (degree with distinction)

LANGUAGES

PROFESSIONAL QUALIFICATION AND TRAININGS

2001	Sun Microsystems Certified Java Programmer (platform 2)
2001	Microsoft Certified Professional - Visual Basic Programmer; SQL Database Management
2000	Computing Technology Industry Association Certified Computer Professional

AWARDS

- Awarded Matsushita Konosuke Pan-European Young Executive Management Training Scholarship
- First Prize Winner at the "China Top 10" 1989 National Contest
- First Prize Winner at the "China National Peace Cup Music Contest", western classic category (87-89)

OTHER ACTIVITIES

1992 – Now **CHINA NUMISMATIC ASSOCIATION** **China**

- Co-founded the China Numismatic Association and China's first numismatic magazine - "World Coin"

PERSONAL INTERESTS

Coin collecting, classic music (singing & playing guitar), photography, interior design, miniature model craft, travelling, gastronomy, tennis, skiing, and diverse team sports (soccer, rowing etc)

7. Case Interview Tips

General Interview Tips

- Be prepared
  Do some research on the firm (internet, database resources in library).
- Demonstrate that you did your homework
  Mention one of the articles you read, or compare sales figures of the company with your previous employer.
- Have a point of view
  Clearly voice your opinion and be prepared to defend your point of view.
- Know the business stories
  Read the financial newspapers, know what's going on and incorporate them in your interview.
- Practice answering behavioural questions

Case Interview Tips

- Start on time practicing cases.
  Most students don't ace their case naturally. This takes practice. Make sure that you have practiced enough cases before your interviews are scheduled.
- Be creative – do not rely on just standard frameworks or industry jargon
- Show sincere enthusiasm – answers driven by intellectual curiosity and energy, not by a rigid focus on impressing the interviewer
- Stay calm, take time to think
- Define issues and hypotheses
- Be causal in your analyses
- Try to quantify - demonstrate your analytical skills
- Take notes, sketch and draw
- Drive to potential actions for the client
- Accept guidance and clues

HOW TO SUCCESSFUL APPROACH A CASE

Structure

- Follow a logical structure—follow these five steps to generate a hypothesis and supporting arguments

  (1) Listen carefully to the situation and the question
  (2) Firmly establish your understanding of the case
  (3) Create an approach that focuses on critical issues and guides your analysis
    - Structure/Framework
    - Prioritize issues you want to address
    - Identify key information you need

  (4) Analyze the problem
    - Ask focused questions
    - Evaluate situation
    - Draw conclusions

  (5) Clearly summarize your final analysis and conclusions
    - Think out loud so that the interviewer understands the direction of your thinking. You may also want to write down your findings and assumptions
    - Remember, there is no "right" way of doing a case; nor is there a single answer. If you have demonstrated the way you think, you have done all you can to "crack the case."

Attitude

- Interact with the interviewer. The case should be a dialogue, not a monologue
- Pace yourself. It's important to not rush to conclusions
- And perhaps most important, relax and have fun

8. Review of Frameworks

Cost Analysis

SUGGESTED FRAMEWORK FOR PERFORMING COST ANALYSIS
General Framework with Illustrative Examples

Understand the business issue	Define business units	Identify relevant costs	Gather data and create cost buckets	Identify cost drivers	Allocate costs to units	Test and refine
What question are you trying to answer?	What specific unit are we modelling? Into what segments should you deaverage?	What is the cost structure? Which large costs will change as a result of the decision?	What do cost budgets, i.e. COGS, Mfg., overhead, SG&A, etc., … really consist of?	What is the underlying "logic" of the relevant cost?	Are your units still appropriate?	What questions are you trying to answer?
• Am I paying my distributor too much? • Am I pricing correctly? • Do we focus on the right customer segments?	• Customer segments: - Size - Income - Age, … • Product segments	• Identify and drill deeper	• SG&A - Sales - Compensation - Travel - Promotions - Trade discounts - Special promotions • Advertising - TV - Press - Flyers • Distribution - Warehouse - Transportation - Labor	• What is the cost related to? - Units sold - Number of accounts • How is the cost related to the driver? • Don't forget - Scale - Capacity utilization - Experience - Complexity Model relationship between cost driver/unit	• Has your understanding of the business changed? • Do the units still answer your key questions?	• Use the model to answer questions

DEFINING COST DRIVERS IS KEY FOR ANY COST ANALYSIS
Three Major Steps with Illustrative Examples

1. Define a unit

What is the specific unit we are trying to model?
- Cost per piece
- Cost per account

2. Understand what drives the unit cost

Why are costs what they are?
- Fixed versus variable
- Labor intensive versus capital intensive
- Technology driven

How do costs behave?
- Marginal costs
- Capacity limits
- Impact of doubling volume

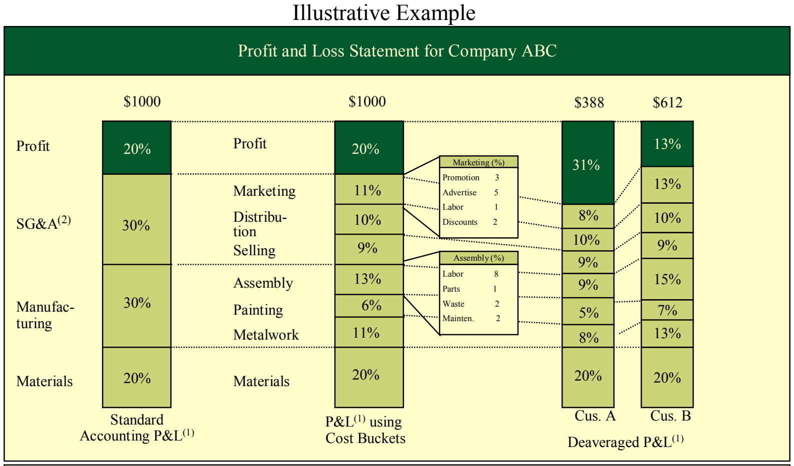
3. Model this relationship

What simple equation can we use to link the unit to a key cost driver?
- Weight
- Space per passenger
- Time per passenger

Define business units

COST ANALYSIS IS AN EXERCISE IN CREATING DEAVERAGED PROFIT AND LOSS STATEMENTS

Illustrative Example



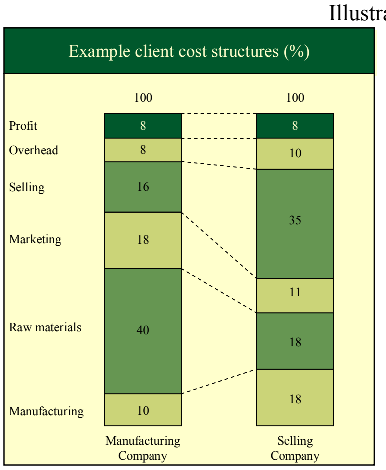
The ultimate goal of cost analysis is to understand where and how a company earns its profits

(1) P&L = Profit and Loss statement, or Income statement
(2) SG&A = Sales, General and Administrative expenses

Identify Relevant Costs

LAYING OUT THE CLIENT COST STRUCTURE IS OFTEN A HELPFUL FIRST STEP TO IDENTIFYING RELEVANT COSTS

Illustrative Example



It's big, but is it relevant?

If the issue is related to sales and distribution, you probably wouldn't look at manufacturing costs even if it represents a significant portion of total costs

Once relevant costs are identified, focus efforts on largest ones

Gather data and create cost buckets

COST BUCKETS CONVERT ACCOUNTING DATA INTO MEANINGFUL BUSINESS DATA

Illustrative Example

Client accounting data		
Materials		30
Manufacturing		40
• Direct	15	
• Indirect	10	
• Overhead	15	
Commercial		30
• Variable	10	
• Fixed	20	
Total		100

BCG cost buckets		
Materials		30
Manufacturing		40
• Metalwork	15	
• Painting	8	
• Assembly	17	
Distribution		7
Selling		9
Marketing		10
G&A		4
Total		100

Area of focus	
Assembly	
Labor	10
Maintenance	3
Parts	2
Waste	2

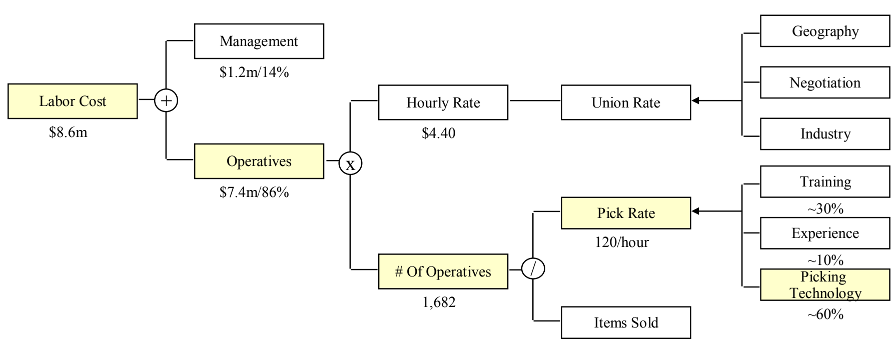
Area of focus	
Marketing	
Promotions	1
Advertising	5
Sponsorship	1
Labor	2
Other	1

Insight comes not from number crunching but the way numbers are sliced and diced

Define cost drivers

BCG OFTEN USES DRIVER TREES TO EXPLAIN COST DRIVERS

Illustrative Example: Parts Warehouse Labor Cost

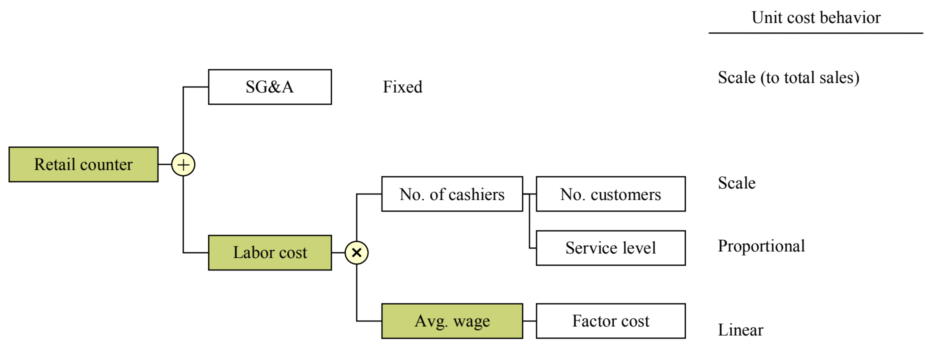


What is the primary cause of high labor costs in the parts warehouse?

Define cost drivers

IDENTIFY MOST RELEVANT COST DRIVERS AND UNDERSTAND THEIR RELATIONSHIP TO THE COST ITEM

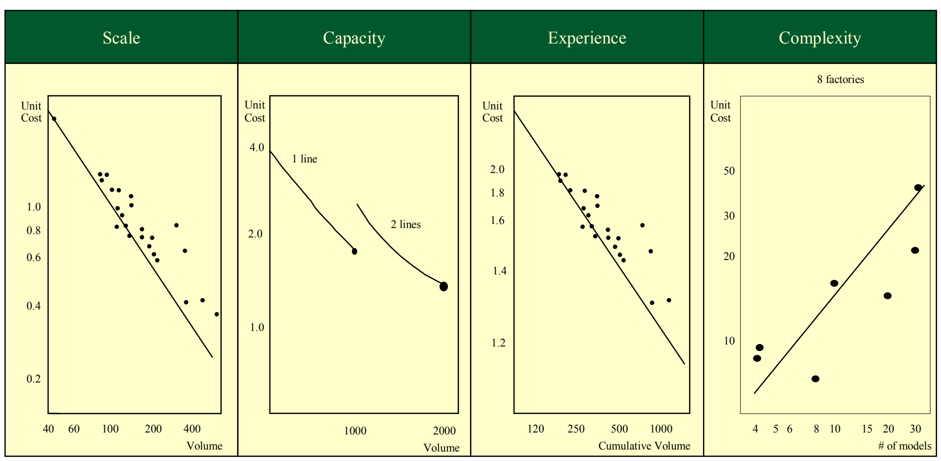
Illustrative Example



Define cost drivers

COST ANALYSIS CAN HELP YOU UNDERSTAND COST BEHAVIOR:

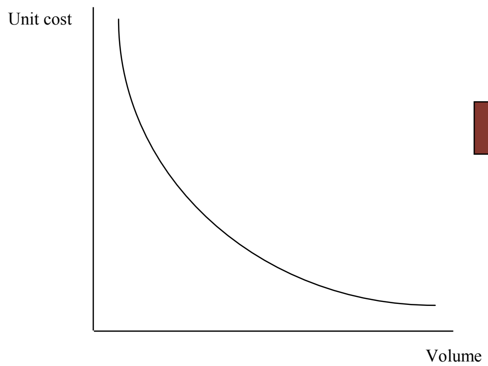
Some BCG Favourites



Cost behavior

SCALE—WHAT CAUSES IT?

Scale example



The Basics

- Volume doubles, but costs don't
  - Unit cost falls as volume increases
- Scale occurs when fixed costs are a large portion of the total cost
  - Any increase in volume will reduce unit cost
- For example, processing of invoices (a fixed cost) represents a large portion of total distribution cost therefore any increase in volume will lower unit cost

Hint, whenever possible, BCG discusses scale in terms of doubling
• easy to understand and easy to explain to clients

Cost behavior

EXPERIENCE—WHAT CAUSES IT?

Unit costs typically decrease over time—even if volume remains constant—because of

- Learning
- Improved/changed technology
- Substitution of capital for labor
- Product design improvements
- Organizational improvements, etc.

Experience measured by looking at Cumulative Volume: UC = f(CV)

- But CV often includes scale, because volume usually grows over time

Therefore, relevant questions become

- Do unit costs decline with cumulative volume or time?
- How much due to scale?
- How much due to experience?

COMPLEXITY—WHAT CAUSES IT?

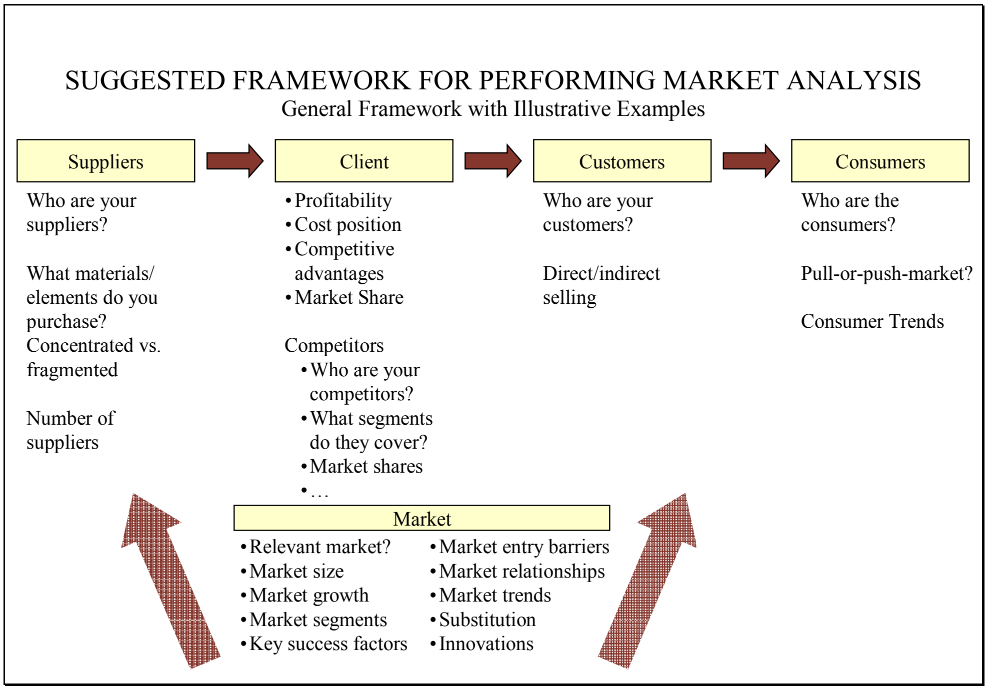
Complexity arises from additions to number of different products produced or activities managed

- Often without increase in overall volume
- That cannot be added at low marginal cost or minor adjustments in production/staffing

Complexity can arise in numerous parts of cost structure

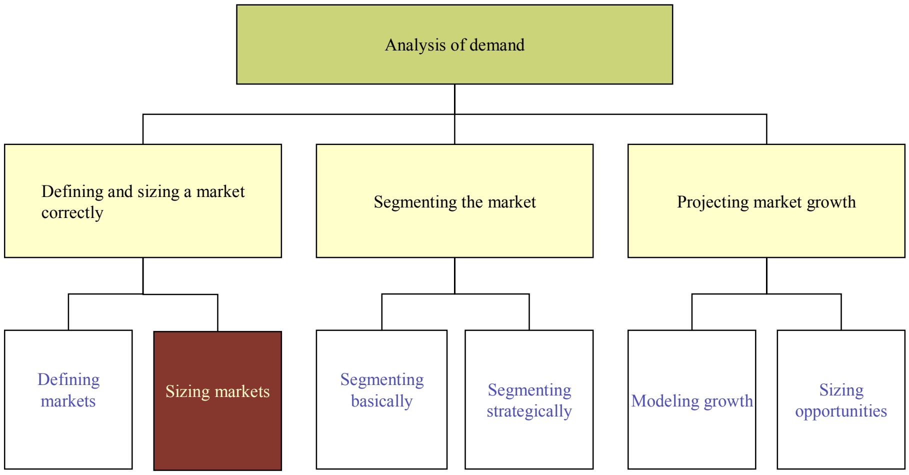
- Manufacturing: machine change-over and set up; increased inventory
  - starter runs—machine change-over and set up
  - higher inventories—especially if little interchangeability
  - additional/longer production lines—often at lower volumes
- Sales/distribution
  - sales force requires in-depth knowledge of full product line
  - increased storage facilities, distribution logistics
- Administration
  - tracking, coordination issues

Market Analysis



Market Size

SUGGESTED FRAMEWORK OF DEMAND ANALYSIS



Typical interview case often emphasizes on demand analysis and market sizing

Market sizing

MARKETS MUST BE CLEARLY DEFINED BEFORE SIZING

A market can be defined as the intersection between suppliers and consumers where goods are exchanged at a price agreeable to both

- It implies the existence of a need and the products and/or services to satisfy it

Market definition can vary

- Supply side = products, competitors, and substitutes
- Demand side = customers, competitor's customers, and nonusers

Supply side market analysis is typically straightforward, though clients often neglect substitutes and indirect competition in their analysis

Demand side market analysis is usually more difficult but often leads to powerful conclusions

Let your analytical objectives drive how you define the market, not data availability or client tradition

Market sizing

DIFFERENT APPROACHES TO MARKET SIZING

Approach	Top-down	Bottom-up
Methodologies (examples)	Client sales ÷ his market share xy% of a comparable market	Users × unit volume × price Opportunity × treatments × price
Best application	Best when • large part of the market can be tracked via secondary sources • speed is critical • overall size is the primary output • market is well-defined	Best when • deep understanding of demand drivers is important • detailed base level data is available • top-down estimates have been unsatisfying or are not actionable • market is less well-defined
Shortcomings	Falls short when • market dynamics are complicated and poorly understood • secondary data sources are limited	Falls short when • speed is critical • demand drivers are not intuitive

Market sizing

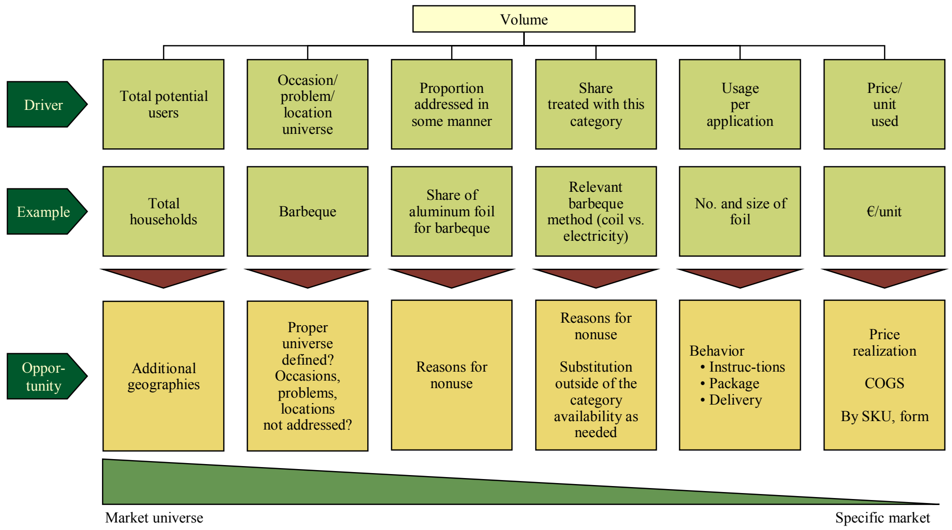
TWO APPROACHES TO BUILDING BOTTOM UP MARKET SIZING

Estimate demand drivers	Build sample by interviewing
Size underlying population of customers/consumers, by type Purchases (rate, frequency) Value per unit occasions	One local market or Samples of different segments
Value add: insight into the drivers and how to address them	Value add: original market research to better estimate true market size

Market sizing

EACH STEP IN A BOTTOM-UP CONSUMPTION FUNCTION IS A LEVERAGE POINT TO BE EXPLORED

Illustrative Example



THERE ARE RIGHT AND WRONG APPROACHES TO SEGMENTATION

The right approach . . .

Looks at multiple dimensions of a segment
- Demographics and size
- Behavior and use
- Attitudes, motivations

Matches segmentation tools to the nature of the product/service

Imposes structure to current behavior, but is not trapped by it
- Existing market structure and
- Unmet needs

Listens to consumer creatively

Experiments, a keen eye for potential new segments

The wrong approach . . .

Relies on only one or two dimensions of a segment

Uses available tools, whether they apply or not

Defines the market by what it is today

Sticks to research reports and focus groups

Defines solely by existing market - trapped in available data

NEED TO FIND APPROPRIATE SIZE OF SEGMENTS

Not too big:

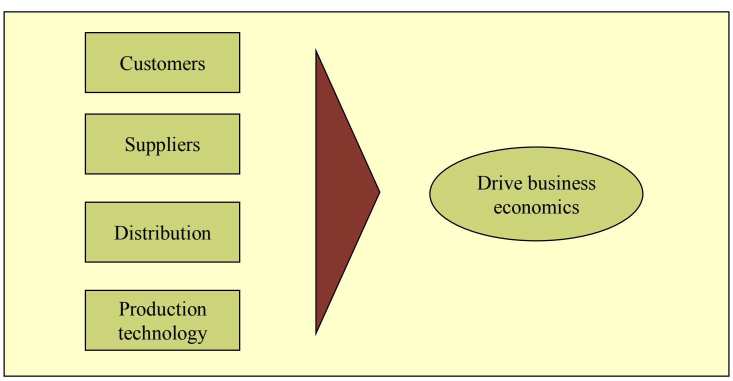
- Risk of mixing apples with pears

Not too small:

- With strategic relevance
- Too small to justify allocation of resources
- Barriers not significant enough

FROM MARKET TO STRATEGIC SEGMENTATION

Market Segmentation Focuses on Just One of These Factors



Strategic business segments have defensible barriers, and can be viewed as stand-alone activities

Market growth

HISTORY AND PATTERN RECOGNITION FORM BASIC BUILDING BLOCKS FOR PROJECTING MARKET GROWTH

Look at historical pattern
- For the industry
- For the product and its substitutes
- For the client and its competitors

+

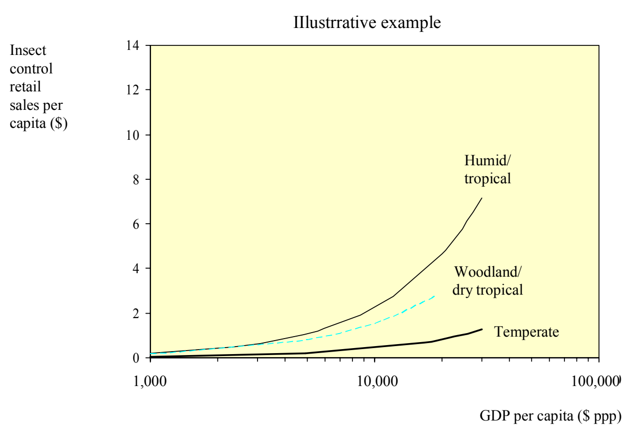
Is the demand pattern
- cyclical?
- volatile?
- steady?
- a composite?

Develop initial hypotheses

Market growth

MULTIPLE FACTORS CAN INFLUENCE MARKET GROWTH

Illustrative Example: Insect Control: Consumption Correlated to Income and Climate



Note: Desert climates excluded because of lack of data points
Source: SCJ FY 1993–94 worldwide database; *Statistical Abstract of the World*; WWF; CIA; *Oxford Encyclopedic World Atlas*; BCG analysis

RECAP: TEN PRINCIPLES TO GOOD DEMAND ANALYSIS

1. Get the proper market definition to start (challenge marketing and sales department)
2. Consider the markets from the customer or consumer point of view
3. Tie market size to root causes, key drivers
4. Triangulate based on multiple sources and approaches
5. Disaggregate markets into relevant, actionable segments
6. Understand the attractiveness, economics, and requirements to succeed for each of the major segments
7. Prioritize the segments
8. Ask: what are the primary drivers of market growth?
9. Make realistic assumptions to get a realistic projection of the opportunity
10. Tie market definitions, segmentations, projections to business economics and strategy; the analysis must help find competitive advantage

Analysis of Competitive Position

THE ANALYSIS OF COMPETITIVE POSITION IS AT THE HEART OF STRATEGY WORK

The Analysis		The Result
Drivers of advantage • What drives competition and competitive advantage? • How will this evolve? Client position • What is the client's structural position and capabilities? • Where is the client advantaged/disadvantaged? • To what degree? • How might this be improved?	→	Client strategy that builds competitive advantage • Shaping industry outcomes • Defining position and capabilities needed for success

ANALYSIS OF COMPETITIVE POSITION
Outline

A general framework

- Identifying drivers of advantage
- Understanding the client's position

An application: competitive cost analysis

- Scoping the work
- Defining the client cost baseline
- Estimating competitor costs
- Drawing
- out the implications

IDENTIFYING THE DRIVERS OF ADVANTAGE

The Analysis

Drivers of advantage
- What drives competition and competitive advantage?
- How will this evolve?

Client position
- What is the client's structural position and capabilities?
- Where is the client advantaged/disadvantaged?
- To what degree?
- How might this be improved?

A Basic Approach

1. Assess customer value
2. Identify the levers of customer value

Assess Customer Value

FIRMS GENERATE VALUE FOR CUSTOMERS IN TWO BASIC WAYS

Enhance customer performance

- Facilitate their ability to create value with their customers, through speed, quality, features, etc.
- Enhance their satisfaction

Reduce customer costs

- Directly: through low prices
- Indirectly: by saving the customer other costs

Identify The Levers Of Value

ABILITY TO GENERATE CUSTOMER VALUE IS ROOTED IN A FIRM'S STRUCTURAL POSITION AND CAPABILITIES

Structural Position	Capabilities
Inputs • Factor costs • Location Production technology • Scale • Scope • Experience Market • Brand equity • Customer switching costs Government • Patents • Subsidies • Franchise rights	Process • Delivery • New product development • Service Knowledge • Technology • Manufacturing • Databases Enabling conditions • Management of human resources • Decision/action • Information • Culture

ASSESSING COMPETITIVE POSITION

The Analysis

Drivers of advantage

- What drives competition and competitive advantage?
- How will this evolve?

Client position

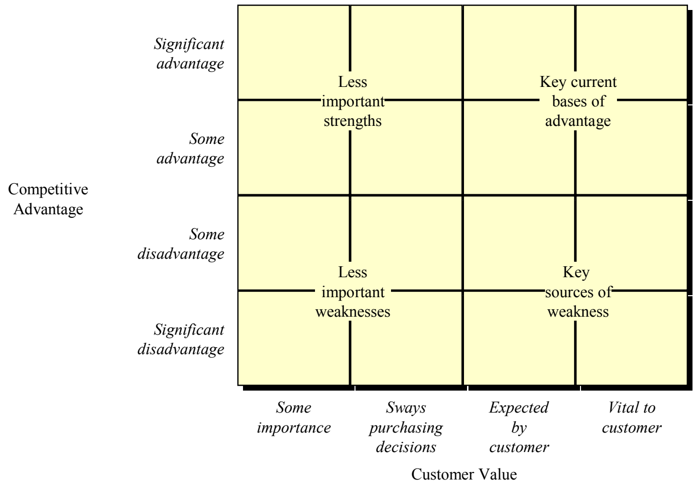
- What are the client's structural position and capabilities?
- Where is the client advantaged/disadvantaged?
- To what degree?
- How might this be improved?

A Basic Approach

1. Assess relative strength in generating customer value
2. Evaluate position on levers of customer value

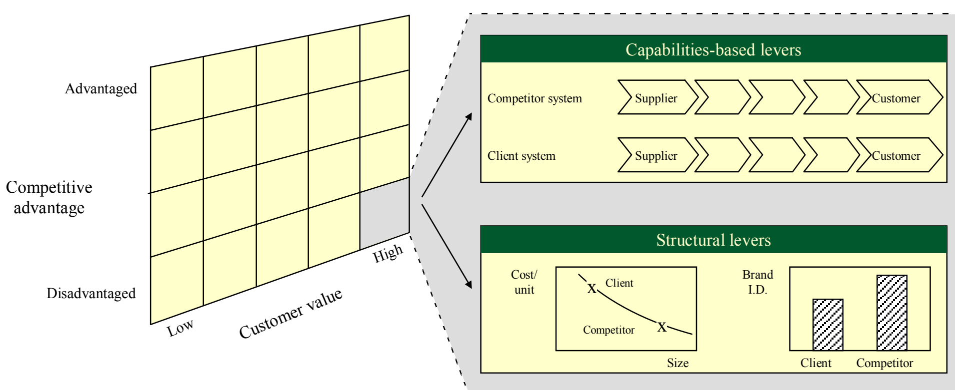
Assess Relative Customer Value

RELATIVE STRENGTH IN GENERATING CUSTOMER VALUE: THE VALUE ADVANTAGE MATRIX



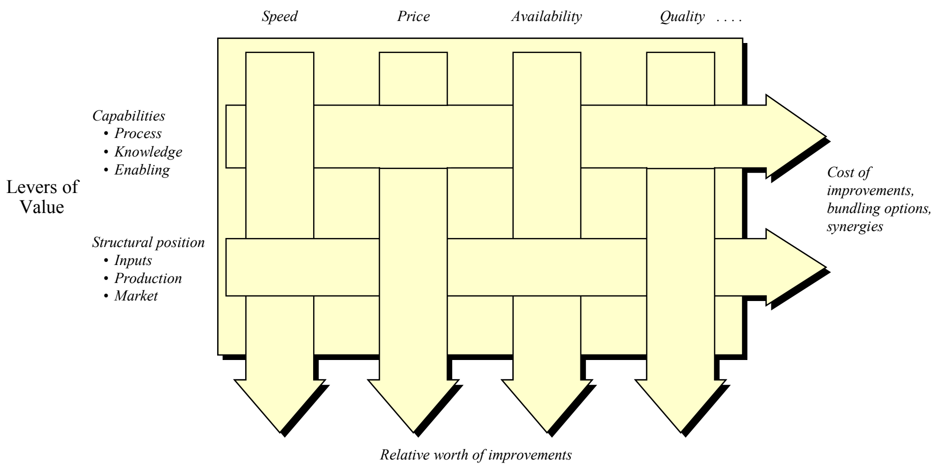
Evaluate Position On Levers

SOURCES OF RELATIVE CUSTOMER VALUE: POSITION ON THE LEVERS OF VALUE

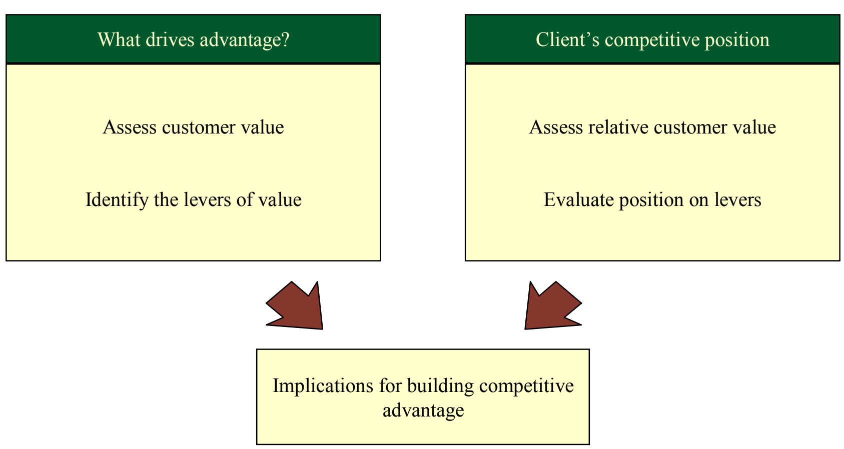


Evaluating position on levers tells you why the advantage or disadvantage exists

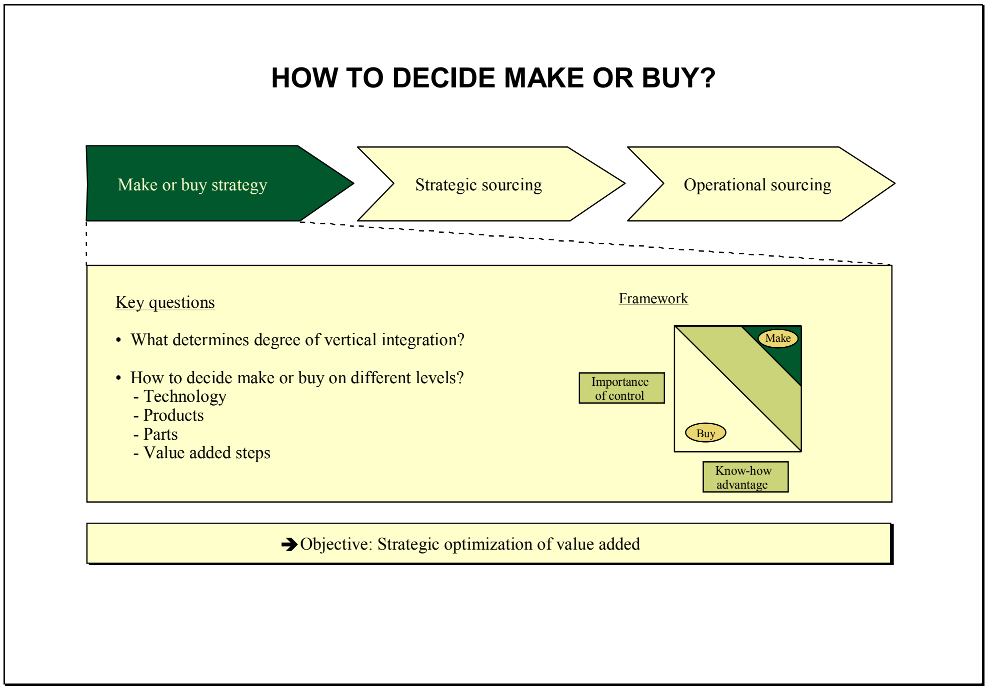
IMPLICATIONS: BUILDING COMPETITIVE ADVANTAGE

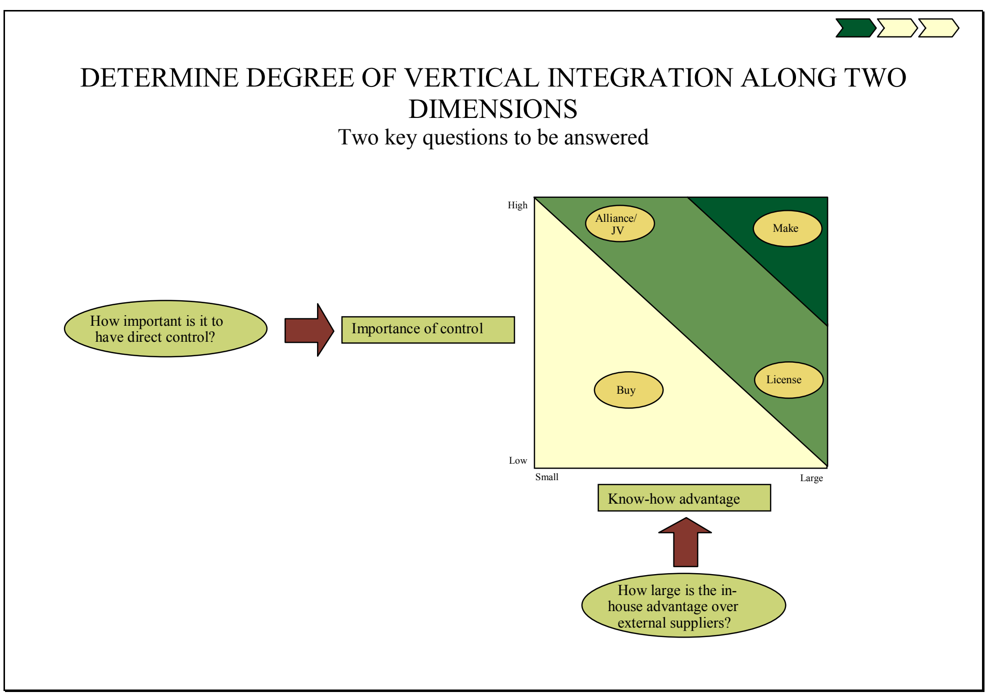


GENERAL FRAMEWORK
Summary

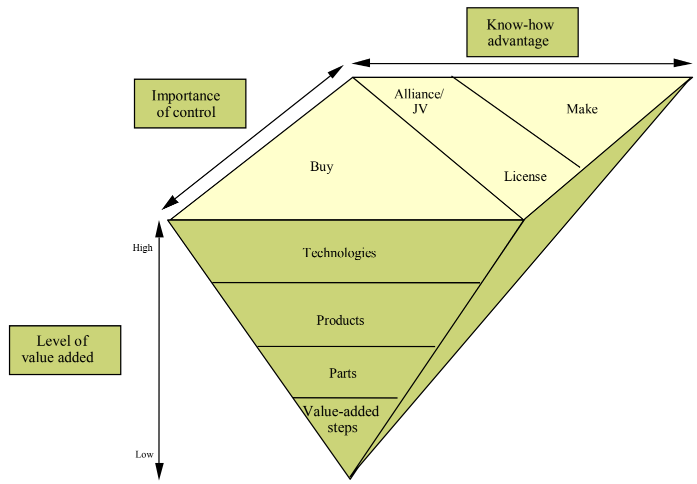


Make or Buy Decision





FRAMEWORK ADRESSES LEVEL-SPECIFIC MAKE OR BUY QUESTIONS



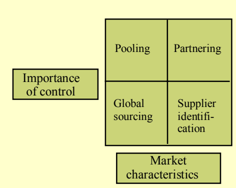
HOW TO ORGANIZE SOURCING STRATEGICALLY?

Make or buy strategy → **Strategic sourcing** → Operational sourcing

Key questions

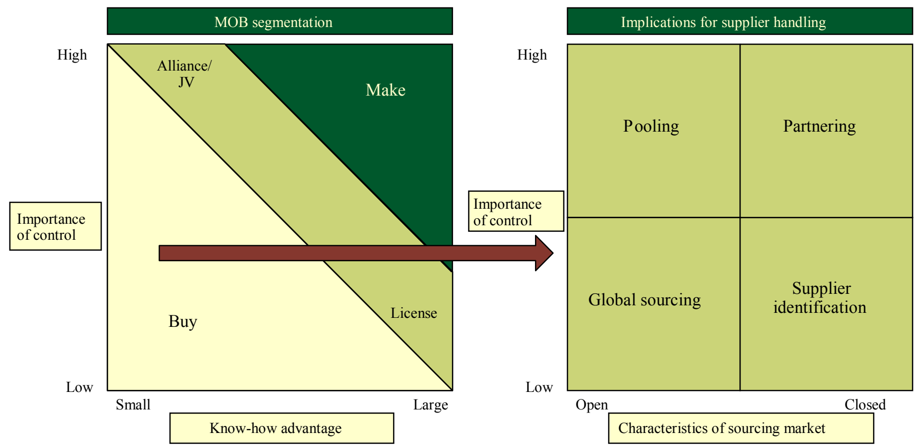
- How to organize sourcing for competitive advantage?
- How to approach suppliers strategically?

Framework



➔ Objective: Significant reduction in sourcing cost

MANAGE SUPPLIERS ACCORDING TO CONTROL REQUIREMENTS AND SOURCING MARKET CHARACTERISTICS



HIERARCHY OF SOURCING CRITERIA VARIES BY SEGMENT

Partnering

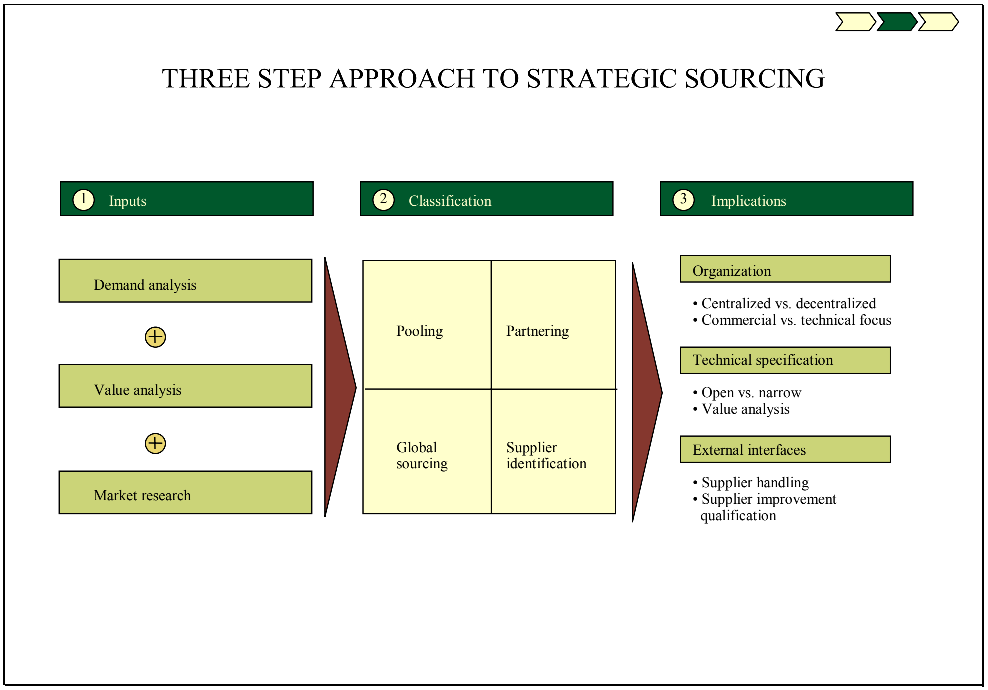
1. Technical capabilities
2. Quality
3. Speed
4. Reliability
5. Cost

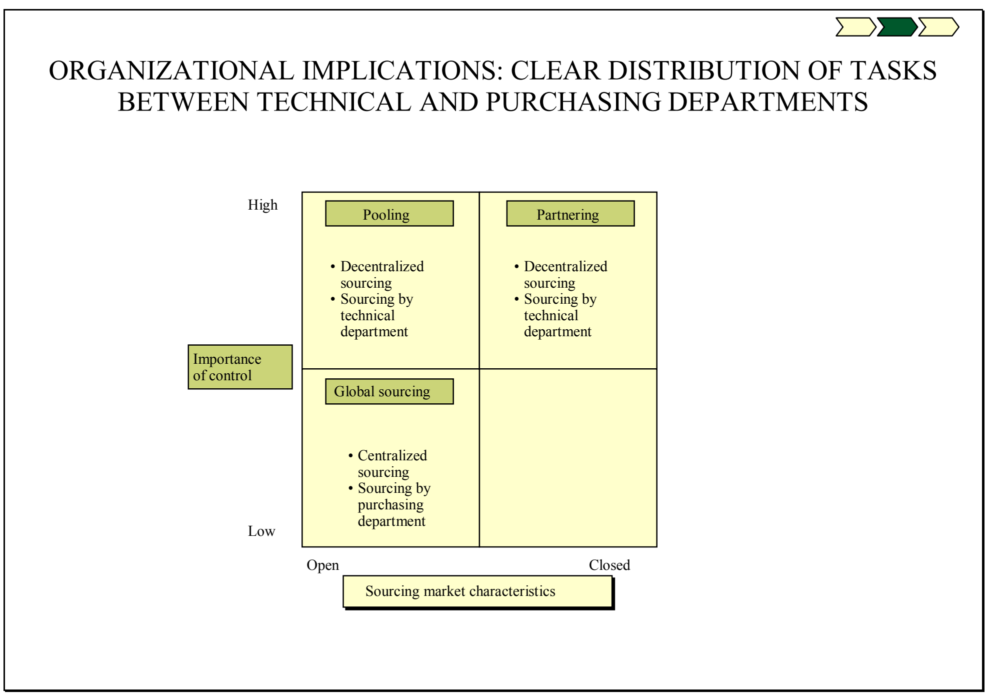
Pooling

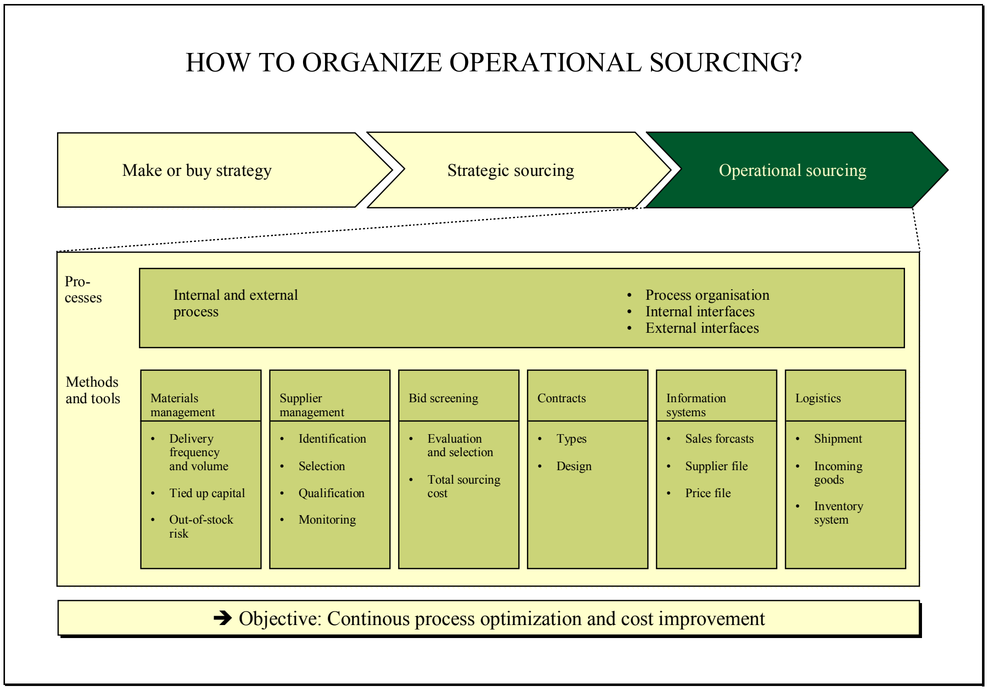
1. Stand-by reliability
2. Coverage of demand
3. Quality
4. Cost
5. Cooperation

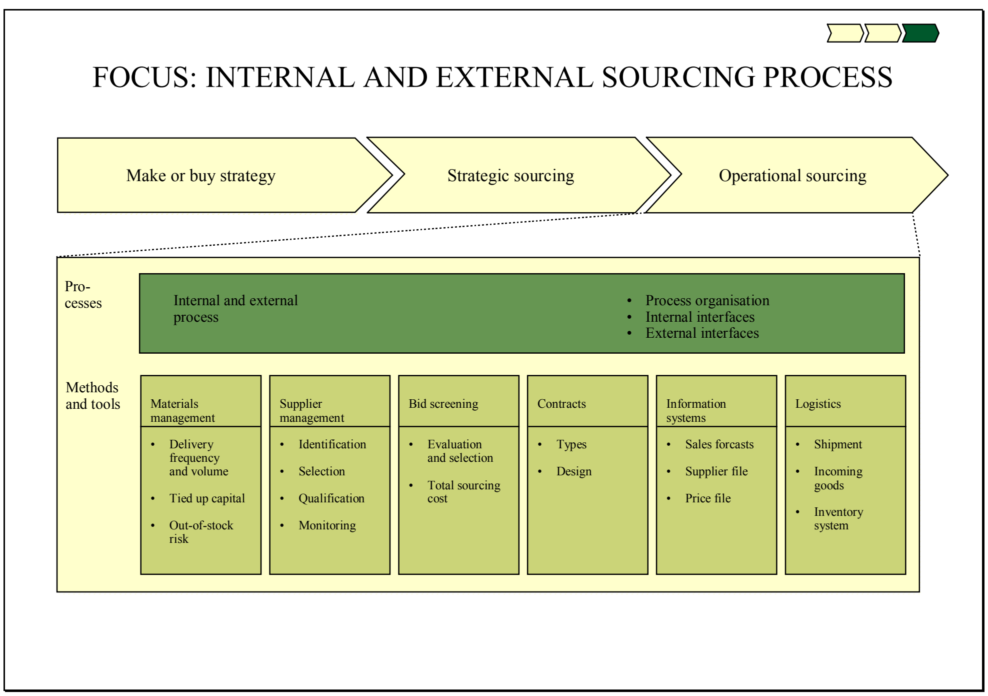
Global sourcing

1. Cost
2. Market opportunities
3. Flexibility
4. Quality
5. Speed


THREE STEP APPROACH TO STRATEGIC SOURCING
1 Inputs
2 Classification
3 Implications
Demand analysis
Value analysis
Market research
Pooling
Partnering
Global sourcing
Supplier identification
Organization
• Centralized vs. decentralized
• Commercial vs. technical focus
Technical specification
• Open vs. narrow
• Value analysis
External interfaces
• Supplier handling
• Supplier improvement qualification


ORGANIZATIONAL IMPLICATIONS: CLEAR DISTRIBUTION OF TASKS BETWEEN TECHNICAL AND PURCHASING DEPARTMENTS
High
Low
Importance of control
Pooling
• Decentralized sourcing
• Sourcing by technical department
Partnering
• Decentralized sourcing
• Sourcing by technical department
Global sourcing
• Centralized sourcing
• Sourcing by purchasing department
Open
Closed
Sourcing market characteristics


HOW TO ORGANIZE OPERATIONAL SOURCING?
Make or buy strategy
Strategic sourcing
Operational sourcing
Pro-cesses
Internal and external process
• Process organisation
• Internal interfaces
• External interfaces
Methods and tools
Materials management
• Delivery frequency and volume
• Tied up capital
• Out-of-stock risk
Supplier management
• Identification
• Selection
• Qualification
• Monitoring
Bid screening
• Evaluation and selection
• Total sourcing cost
Contracts
• Types
• Design
Information systems
• Sales forcasts
• Supplier file
• Price file
Logistics
• Shipment
• Incoming goods
• Inventory system
➔ Objective: Continous process optimization and cost improvement


FOCUS: INTERNAL AND EXTERNAL SOURCING PROCESS
Make or buy strategy
Strategic sourcing
Operational sourcing
Pro-cesses
Internal and external process
• Process organisation
• Internal interfaces
• External interfaces
Methods and tools
Materials management
• Delivery frequency and volume
• Tied up capital
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• Selection
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• Total sourcing cost
Contracts
• Types
• Design
Information systems
• Sales forcasts
• Supplier file
• Price file
Logistics
• Shipment
• Incoming goods
• Inventory system

ALL STEPS OF THE PROCESS CHAIN OFFER POTENTIAL FOR TIME SAVINGS

Illustrative Example

Ordering	Supplier's materials management	Supplier's pre-material sourcing	Supplier's production	Supplier's quality assurance	Supplier's transport	Incoming goods and checks
Optimize internal process Stick to fixed timeframe • EDI connection Direct ordering at production site	Automatically process order data	Linking of pre-material suppliers Reliable pre-material forecasts (incl. obligation to take delivery)	Decoupling of work steps Flexible working time model at supplier	Produce, don't check quality	Batch optimization Local carrier	No quality checks of incoming goods (qualified suppliers)

9. Practice Cases

Gas Retail Case

Introduction

Do you know anything about the liberalization of the energy markets in Europe? If not, let me reassure you: you don't need to know anything.
Let's discuss the challenges on the natural gas market after market liberalization.

Client

Your client is the major operator (monopolist) in one of the largest European gas market.

His business includes two major activities:

- Gas sales to households and firms (gas bought from large producers in Russia, Norway, Algeria…)
- Gas transportation from the national border, where it is delivered by the producer, to the end consumers. This implies the existence of a large ensemble of infrastructures: transportation network, distributions networks, storage equipment, methane terminals…

Situation

Concretely, the market's deregulation means

- The end of the monopoly for the gas sales; the arrival of new competitors
- The preservation of the monopoly on transportation, but under the surveillance of an independent authority that guarantees equal access to all competitors

Your client is at the head of the purchases/sales department. He is in the following situation:

- Today, its market share is 100%
- At a certain point in the next years the market will at once be opened to competition (which is a simplified way of putting it since in reality there will be stages)

Client's question

About the gas sale activity that will be opened to competition

⇨ What will be the level of competitive intensity at opening?

⇨ What actors are likely to become my competitors?

Question	Tested dimension	Possible/expected answer
What do you think, how many and what type of competitors is likely to enter the market?	Structure	This is a complex strategic issues, depends on: Market attractiveness (Market growth, Profitability/margin, Risks) Entry barriers (gas availability, brand) What are the rules of the game/key success factors (access to suppliers, customer intimacy, cost advantages, branding …) How are other players positioned to enter the market? What are their competitive advantages thanks to synergies with other activities (electricity, services …)
Let us focus on the gas retail sale activity's attractiveness and ask the question in relationship with three dimensions • Natural gas market's growth potential • Activity's profitability • The risks associated with this activity		
Let us start with the market's growth potential What are the market's growth levers?	Structure	Differentiate between • Firms/households Identification of key levers by client type • Households: network penetration, share of gas vs. other energies; consumption of gas/household (climate, isolation …) • Firms: as households, and industry growth, productivity, competitiveness with other energy forms
Knowing the market's main growth levers for the firms segment and for the household segment, do you think that the market will strongly grow, stagnate, or decrease?	Judgement	Firms: decrease, in industries that consume a lot of gas (general prize and risk issues) Households: rise of penetration (network extension) but consumption will decrease due to global warming and better built houses
Conclusion on market growth	Synthesis So what	Weak or inexistent growth A new entrant will have to take clients from the major actor
Gas sale profitability Can you imagine, what is a gas retailer's cost structure (turnover = 100)?	Synthesis Structure	Energy/cost of goods (gas) Infrastructure cost Sales and marketing (commercial)

Here is a simplified cost structure (in %) Gas 50 Infrastructures 40 commercial costs 7 margin 3 What cost advantage can a new entrant expect to build for each cost? Let us put ourselves in the shoes of a household client whose yearly gas invoice amounts to € 500. What is the prize reduction potential for a new entrant? Can you give a rough estimate?	Judgement Judgement Rigor	Small opportunity of differentiation through costs • Gas sourced at comparable prices • Infrastructure prices identical for all competitors • Marketing: new entrants have to invest rather more • New entrants not expected to have a productivity lever • And have only a small pricing lever, let us check If you assume you can reduce commercial/marketing costs by 33% (500 x 7% x 33% = 11,55) and you allow a 50% lower margin (500 x 3% x 50% = 7,5), then a new competitor can reduce the gas prize around € 15–20/year (11,55+7,5=19). This might allow him to compete with the established client. Marketing costs can be reduced when new entrant is already established in other energy markets and benefits from scale and known brand name.
What can we conclude on a new entrant's margin level?	Synthesis	Margin will necessarily have to be weak or inexistent to attract clients and draw away from established player
Let us now consider the risks borne by our retailer. In order to simplify, let us focus on what is called the climatic risk. The sales volumes will vary a lot depending on the year, whether the winter is cold or not. During a « warm » year, let's suppose • that the heating volumes decrease by 10%, • that the cost of supply/gas are totally variable, • that the commercial costs are totally fixed • that the infrastructure costs are partly flexible, at 70%, What will be our gas retailer's margin?	Structure Rigor	I am basing my analysis on the sales and cost structure of a normal year (T.O.=100) Then I calculate the value of each cost block for a warm year, also the margin nd compare to the margin in a normal year. Cold vs warm Sales.: 100 vs 90 (-10%) ____________________ Gas : 50 vs 45 (-10%) Inf : 40 vs 38,8 (30% of 40 is variable, makes 12, 10% reduction makes 1,2) Commercial : 7 stay 7 Total cost: 97 vs 90,8

		Margin : 3 vs -0,8 In a warm year, it is more expensive to sell gas, so it is a high risk business.
What can we deduce from this risk calculation?	Judgement	The climatic risk is too high to justify the small margin in a normal year.
Your first meeting with your client is tomorrow morning. What can you tell him/her to answer his/her question based on the analyses that we have just done together? Finally, it looks like our major actor does not have to worry; the gas retailer activity's attractiveness is so weak that one would have to be stupid to venture in it at its opening! But why would it be a big mistake to tell our client not to worry? In fact there is a bias in our reasoning from the start. What is it? Are there other levers that would enable an actor to enter the gas market in a profitable way?	Synthesis Creativity Judgement Creativity	Market is not attractive => weak threat We are not working on the right strategic segment: the gas retail sale segment in not independent from the electricity sale and services, from the moment that monopoly disappears => we have been influenced by the client's historical view. We have looked at the gas market stand alone. But we need to take into account that the rules of the games might change and that other energy providers might enter the market. Those providers might offer additional products to the gas client • Electricity • Oil • Services, other products By offering other energy products or services and products, there can be synergies with the gas supplying • Channel diffusion/delivery costs • Margins from other services can cover production risk (b) But also commercialization costs synergies • Client back offices would combine gas and electricity sales • Brand and client acquisition
Who could other new players in the gas market be?	Judgement	Potential new players that bring additional value to the client could be • Major electricity firms • Major oil producers • Major retailers For the electricity firms, synergies would be mainly based

		on commercialization cost synergies, also for retailers. For the oil producers, there are synergies on the supply side.
What can we finally say to our client?	Judgement	The threat is real, the firm's traditional strategic vision must be questioned due to the emergence of the new market conditions and rules of the game. Examples of dangerous actors: 1. Large power firms 2. Oil producers if they don't have more profitable investments to make 3. A partnership between a large European energy player and a large retailer

Oil Tanker Case

BACKGROUND & QUESTION

My grandfather has just died and left me an oil tanker. I need a valuation for tax purposes, and I have hired you to tell me what it's worth. For your information:

There are 3 types of tankers in the world: small, medium, and large

- Within these three classes, each tanker is identical to every other
- I have just inherited a medium tanker

TO BE GIVEN AS A RESPONSE TO STUDENT INQUIRIES:

- **Supply-side information**

	small	**medium**	**large**
Number	100	100	100
Capacity	1 unit	2 units	4 units
Number of Trips/Year	1	1	1
Operating Cost	$50,000/trip	$75,000/trip	$100,000/trip

- **Demand-side information**
  - **Scenario I:** fixed demand for 500 units of capacity per year (transport costs are a negligible part of total oil-cost structure, and demand is completely inelastic for purposes of this analysis)
  - **Scenario II:** fixed demand for 650 units of capacity per year (*note: change demand-side scenario to this only if student correctly determines value of tanker under first scenario and if time permits)*
- **The market is highly fragmented and therefore competitive**
- **The discount rate is 10%**

SOLUTION

Because the market is competitive, the market price will be the lowest price sufficient to cause enough capacity to enter the industry to serve the fixed demand, and the marginal unit will earn revenue just sufficient to cover its costs.

Clearly, the large tankers have the lowest cost structure, followed by the medium tankers and finally the small tankers. The large tankers can supply 400 units of oil transportation services, the medium tankers 200 units, and the small tankers 100 units.

If demand is fixed at 500 units, then medium tankers will be the marginal capacity, and we can say directly that the market-clearing price will be just sufficient to cover the costs of operating such tankers. So my tanker has no value (or, alternatively, scrap value only).

For completeness, the market-clearing price will be $37,500 per unit. Large tankers, all of which will be employed, will earn profits of $50,000 per year and be worth $500,000. Half of medium tankers will be employed at rates that just cover their costs, while the other half sit idle. Finally, small tankers will not have costs low enough to enter the market and will also be worth zero or scrap value only.

If demand is instead fixed at 650 units, the small tankers will be the marginal capacity and medium tankers will earn profits and have positive value. The equilibrium price will now rise to $50,000 per unit. Medium tankers will earn $25,000 per year and be worth $250,000; large tankers will earn $100,000 per year and be worth $1,000,000.

DISCUSSION

This case is a business problem that at its core is a relatively simple problem in microeconomics.

Students need not get all the way to a numerical answer for the value of the tanker, and few should be expected to give both answers depending on demand assumptions. Nevertheless, students should first demonstrate a good conceptual framework for determining the tanker's value, and be reasonably creative about asking for the right kind of data to get at least part way to the solution.

Note that both the revenue and cost side of the problem need to be understood in order to reach a valuation.

Video Game Case

BACKGROUND

The CEO of a large, diversified entertainment corporation has asked a team to examine the operations of a subsidiary of his corporation that manufactures video games. Specifically, he needs to know if he should approve a $200 million capital request for tripling the division's capacity.

QUESTION

You are a member of the team assigned to this project. Assume you and I are at the first team meeting. What are the critical issues we should plan to examine to determine if the industry is an attractive one for the CEO to continue to invest and why?

To be given as a response to student inquiries:

The following information may be given if requested by the candidates, though the candidate should focus on identifying issues, not on obtaining more information.

Market share

- Division is 3rd largest manufacturer of hardware in industry (10 percent market share)
- Top two producers have 40 and 35 percent market share.
- Remainder is divided by small producers.
- Division sell to broad range of consumers

Sales

- Division sales have increased rapidly over last year from a relatively small base.
- Current estimate is annual sales of 500,000 units
- Current estimate of industry hardware sales is 5,000,000 units annually.
- Industry growth has been strong though over last few months.
- Sales growth has slowed.
- Divisions current sales price for the basic unit is $45 per unit
- Division remains less than 20 percent company sales
- Top two competitors also develop, manufacture and sell software/games though division sells only licensed software
- Industry growth of software continues to increase

Cost

- Division estimates current cost is $30 fully loaded. Requested expansion should reduce the cost by 5 to 7 percent and triple production of the hardware unit
- Top two competitors are estimated to have a 10 to 15 percent cost advantage currently
- Main costs are assembly components and labour

Current

- Division estimates much of initial target market (young families) has now purchased the video game hardware
- No large new user segments have been identified

Distribution

- Primarily outlets of distribution are top and electronics stores

Profitability

- Division currently exceeds corporate return requirements, however, margins have recently been falling

Product

- Hardware standards have been established by the industry leaders
- Product features are constantly developed (e.g., new type of remote joy stick), to appeal to segments of the market

SOLUTION: MINIMUM REQUIREMENTS

The following issues would need to be covered for candidate to have done an acceptable job:

1) What is future market potential? Candidate needs to question the continuation of overall industry growth. She/he might ask about the saturation of markets, competitive products (home computers), and declining "per capita" usage.

2) What is the competitive outlook? Should at least recognize the need to examine competitive dynamics. Issue areas might include: concentration of market shares; control of retail channels; and R&D capabilities (rate of new product introductions, etc.).

3) What will be the price/volume relationships in the future? Issues of prices need to be considered

SOLUTION: BETTER/OUTSTANDING ANSWERS

No bounds on creativity, but better answers would address:

Market Potential

- Recognize that there is a relationship between market penetration and growth in new users which, when combined, yields an industry volume estimate
- Address the shifting mix of product purchases, in this case from hardware (player unit) to software
- Seek to look at buyer behavior in key buyer segments, i.e., "fad" potential of product

Software

- Recognize technology standards are set by industry leaders. In this situation, the division as a secondary player will have to follow these standards.
- Recognize that different distribution needs may exist for different products (in this case, hardware versus software)

Price/Volume Relationships

- Discuss the effect capacity additions can have on overall industry price/volume relationships and on industry price levels

Company Ability to Compete

- Should ask what the capacity expansion is designed to do
- Explore the cost position of the client division relative to that of other competitors
- Seek to understand reasons for poor profit performance of division

DISCUSSION

The primary issue of the case is to determine if the industry is attractive and, especially, if our client's position in that industry is sustainable. The candidate should identify issues which are necessary for assessing both the industry and our client's position, but should not be expected to solve the problem.

If the candidate begins to discuss too deeply a specific issue, before having covered the key issues overall, he or she will probably be brought back to discuss the industry more broadly by questions such as "what other issues must be examined?"

If the candidate is discussing issues which seem irrelevant to the attractiveness of the industry, he or she may be asked "how will that analysis help to assess the attractiveness of the industry or our client's position?"

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Petro Company Case

The Petro Company

Candidate's Brief

Your Brief

- You are a new consultant working for Marakon. You have been assigned to a case team working for our client "The Petro Company" in its oil exploration and production business
- You have received some information from the client about the oil exploration and production industry and some details about the client's performance. You have been asked to prepare for a discussion on the business based on the key insights that can be drawn from the material and the next steps you think should be taken to progress some of these insights
- In 15 minutes from now you will discuss these insights with your case team manager. To this effect, please prepare:
  - An overview of the business
  - A prioritised list of key issues facing the client, if any exist
  - A list of alternatives to address these issues
- The meeting is expected to take about 25 minutes

1

The Petro Company

About the industry

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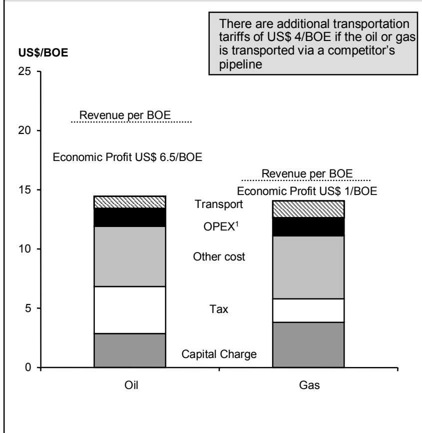
The Petro Company

The Industry

About the industry ...

- The standard for volume is BOE (Barrel of Oil Equivalent). A volume of oil, which equals 1 BOE, and a volume of gas, which equals 1 BOE, have the same energy content
- Oil and gas can be transported via pipelines owned by the company and via those owned by competitors
- A pipeline transports either oil or gas, not both simultaneously
- The forecast oil price of US$20/bbl has been revised downwards to only US$10/bbl for 2000 and beyond

2000 average cost structure for oil and gas, if the oil/gas is transported via company's own pipes



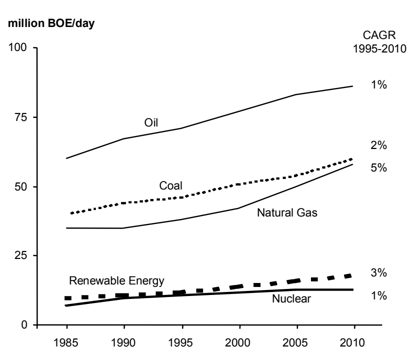
1. Operating Expenditure (OPEX) includes maintenance costs

3

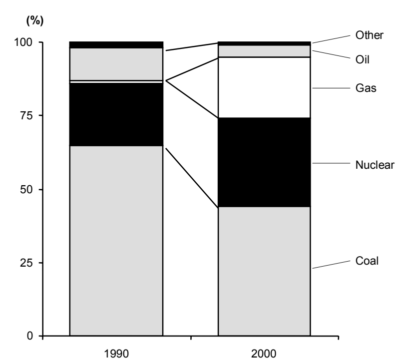
The Petro Company

The Industry

Actual and forecast world energy demand



Fuel supply for UK electricity generation in 2000



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The Petro Company

About Our Client

5

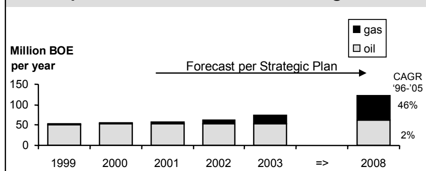
The Petro Company

Background

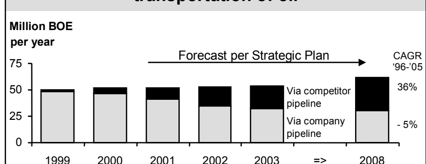
Background of the Petro Company

- The Petro Company has made a strategic decision to significantly increase its gas production as
  - Gas is environmentally friendly thus improving the public image of the company, and
  - Gas is a growing market
- The Petro Company transports its produced volume solely through pipelines because other transportation methods are either more expensive or impossible to use due to weather constraints
- Currently, Petro-Company does not own any gas pipelines and the government has refused permission to lay new ones as half-empty competitor gas pipelines are nearby
- Nevertheless, Petro-company will get Government permission to lay its own oil pipelines

Petro-Company's actual and forecast production volumes for oil and gas



Petro-Company's actual and forecast transportation of oil



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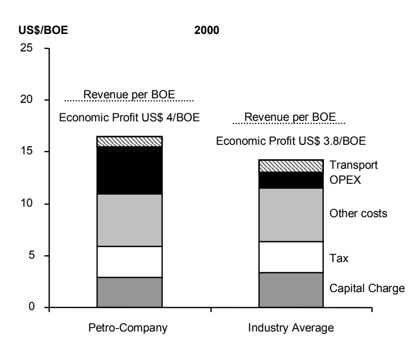
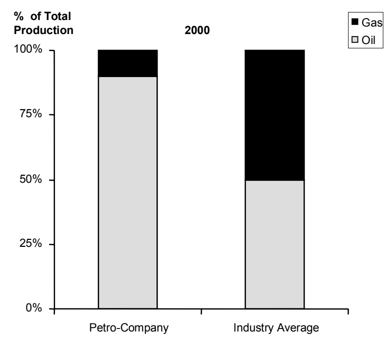
The Petro Company

Petro-Company versus Competitors

Average cost structure of Petro-Company and the Industry Average for products transported via company's own pipes



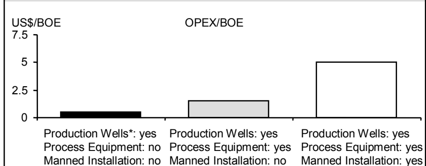
Comparison of dependence on oil versus gas



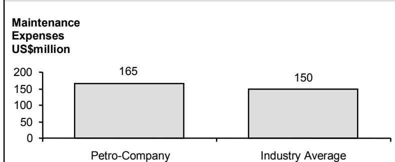
The Petro Company

Petro-Company versus Competitors

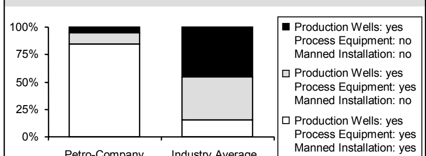
2000 average industry OPEX for three types of production installations



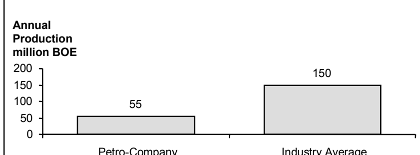
2000 total maintenance expenses for Petro-Company and the Industry Average



2000 usage of the types of production installation by Petro-Company and the Industry Average



2000 total annual production for Petro-Company and the Industry Average



* Production wells are the holes in the ground through which the oil and/or the gas flows to the surface

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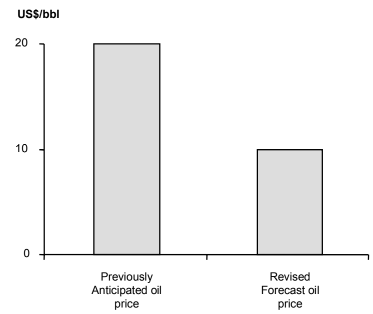
The Petro Company

Financial Performance of Petro-Company

Financial performance before the latest revision of the oil price forecast

	1998	1999	2000	2001 F
Oil Price (US$/BOE)	17.5	18	20.9	20
Volume (Million BOE/yr)	49.3	52.4	55.7	58.2
(US$ million)				
Revenue	**863**	**932**	**1,145**	**1,131**
OPEX	94	131	185	255
Other costs	297	313	329	347
Operating Profit	**471**	**489**	**630**	**530**
Interest paid	42	49	56	64
Profit before Tax	**429**	**440**	**574**	**466**
Tax	148	155	164	170
Profit after Tax	**281**	**285**	**410**	**296**
Capital Charge	141	148	157	162
Economic Profit	**140**	**136**	**253**	**134**

Revised forecast ...



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Marakon Associates

Recruiting

The Petro Company

Interviewer Notes

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The Petro-Company

Introduction: Insights

Market Economics

- Gas production is increasing, but is only profitable if the gas is transported through company's own pipelines
- The oil price is forecasted to reduce from the currently expected US$20/bbl to US$10/bbl, reducing the profitability of the oil and gas industry to unattractive (gas price/BOE is about 70% of that of oil)

Petro-Company

Financial Performance
- As a company, Petro-Company generated positive economic profits and will do so at US$20/bbl
- At US$20/bbl, oil production is EP positive, but gas production is EP negative as Petro-Company has to transport its gas through competitor pipelines and, hence, pays an additional US$4/BOE
- At the expected US$10/bbl, Petro-Company generates negative economic profits (and will not be able to pay interest on its debt)

Competitive Position
- Petro-Company has a relative cost disadvantage as its OPEX is much higher than the competition (due to expensive platforms and high maintenance costs)

Participation Strategy
- Petro-Company currently produces about 90% oil and 10% gas, but its strategy is to drastically increase its gas production (wrong strategy as gas production is unprofitable for Petro-Company)

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The Petro-Company

Key Issues: 1 and 2

Issue 1: Increasing gas production leads to unprofitable growth

- Petro-Company wants to increase its gas production, which is not a good idea as they have to transport the gas via competitor's pipelines, incurring an additional US$4/BOE, thus making
it unattractive

Solution:

- As Petro-Company is not allowed to lay its own gas pipelines, the solution is
  - either to reduce cost:
    - cheaper platforms (e.g., build cheap new ones in future and/or convert existing ones if economically feasible), and
    - reduce OPEX
  - or wait until gas prices increase
    - either do not develop gas fields,
    - or re-inject gas if produced simultaneously with oil (if that can be done economically)

- **Issue 2: Value destruction at expected oil price of US$10/bbl**
- At US$10/bbl, Petro-Company destroys value (and does not generate sufficient operating profit to pay the interest on its debt)

Solution:

- Even reduction of maintenance cost to competitor levels and use of cheaper platforms will not result in a positive EP. Hence, Petro-Company should only stay in this business if further cost reductions are possible and the oil price is expected to increase for the long term. (When reducing maintenance cost to competitor levels, the interest on debt can be paid, see numerical exercise)

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The Petro-Company

Key Issues: 3 and 4

Issue 3: Current relative cost position

- Petro-Company has high maintenance cost (US$3/BOE vs. an industry average of US$1/BOE)
- Petro-Company has high OPEX, as it has many of the most expense platforms (manned installations with processing equipment)

Solution:

- Reduce maintenance to competitor levels
  - Company practices in the Oil/Gas industry vary widely: less frequent servicing of equipment, simultaneous maintenance of equipment to reduce oil/gas production down-time, less frequent painting of the platform, etc.
- Convert existing manned platforms into unmanned platforms (if this can be done economically), in the future only build cheap platforms

Issue 4: Future relative cost position deteriorates rapidly

- Oil transportation costs are increasing rapidly as more and more oil is transported via competitor pipelines, incurring the additional US$4/BOE

Solution:

- Petro-Company is allowed to lay additional oil pipelines (as opposed to gas pipelines), so it should do so

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The Petro-Company

Example of numerical exercise

How much value will Petro-Company destroy each year if oil prices go down to US$10/bbl?:

- At US$20/bbl, total revenue is $1,132 million and operating profit US$530 million
- At US$10/bbl, revenue will half to US$566 million and operating profit will be negative at US$530million - US$566 million = minus US$ 36 million. After paying interest of US$64 million, PBT equals minus US$100 million and PAT is minus US$67 million
- EP equals minus US$67 million minus capital charge of US$162 million equals minus $229 million

Could Petro-Company pay interest on its debt if it reduced maintenance costs to industry levels? Is it profitable?

- Petro-Company can reduce maintenance costs: it pays US$165 million for 55 million BOE or US$3/BOE, while the competitors pay US$150million for 150million BOE, or US$1/BOE
- If Petro-Company reduces maintenance to US$1/BOE, it saves US$110million. At US$10/bbl for oil, operating profit will increase from minus US$36 million to US$74million (i.e., -US$36million + US$110 million). EP is still negative, but interest can be paid

If, in addition to reducing maintenance costs, Petro-Company were able to decrease OPEX to industry levels, would it generate an economic profit? How economically profitable would it be?

- Petro-Company can reduce OPEX even further. It pays approximately US$3.5/BOE compared with US$1.5/BOE for the competitors (see LHS, p7). Hence, it can reduce cost a further US1/BOE than when only reducing maintenance costs
- Petro-Company will save another US$55million and operating profit will increase to US$138million i.e., US$74million + US$55million=US$138million. After paying interest of US$64million, PBT is US$74million and PAT is (approximately US$50million). Subtracting a capital charge of US$160million will still leave a negative EP of minus US$100million

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Jet Fighter manufacturing case

STEP 1: ACTIVELY LISTEN TO THE CASE

Your client is a U.S. defense contractor that manufactures the Mohawk Light Fighter Jet for the British Royal Air Force. The company has produced the $20 million fighter jet for the past 12 years. The British government has decided to put the contract out to bid, however, and to win the program, the client's purchasing agents have estimated, the company will need to cut its costs by 5 percent. It has asked BCG to help it reduce costs.

STEP 2: ESTABLISH UNDERSTANDING OF THE CASE

Let me first clarify the question. The client manufactures a $20 million jet and, because of competitive forces, has to reduce its cost by 5 percent. Is BCG's role also to verify the purchasing department's estimate?

No, you can assume that the purchasing estimate is correct. BCG's role is to find the cost savings to meet that estimate.

Could I take a few minutes to think about the case?

Sure, please do so.

STEP 3: SET UP THE FRAMEWORK

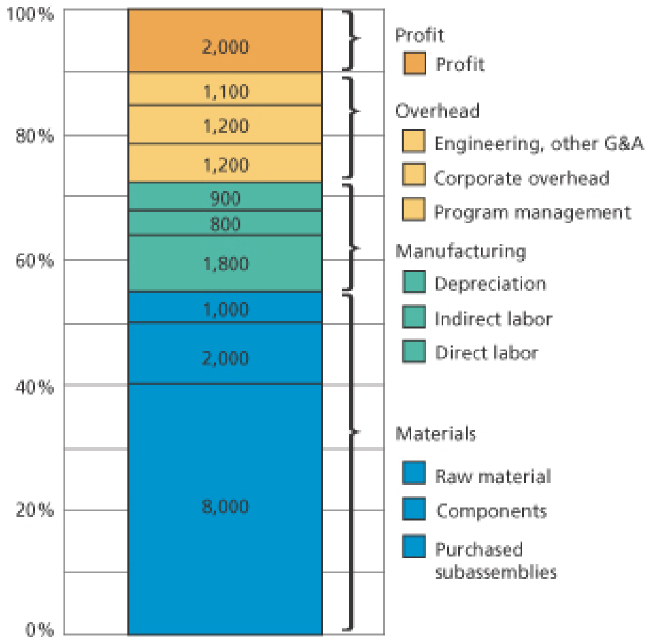
First, I would like to understand the cost structure of the jet to see what we should look at first. Next, I would like to look at major factors driving the costs we are targeting. Finally, I would like to explore potential ideas to reduce cost.

That sounds like a very logical approach. Let's proceed.

STEP 4: EVALUATE THE CASE USING THE FRAMEWORK

Because the time for the interview is limited, I think we should try to identify those areas most responsible for the cost of the jet.

Time is limited on real projects as well, so I think that would be a good idea! You have the following cost information for the jet. How would you interpret it?



The major cost driver for the jet appears to be purchased materials. Within manufacturing, direct labor is a fairly large component of cost, as are program management and corporate overhead within overhead. I think we would want to concentrate most on materials, however, since that's where most of the costs can be found.

That sounds like a good place to start. Where would you look within materials?

I see that materials are broken down into purchased subassemblies, components, and raw materials. I understand what raw materials would be, but what would be the difference between components and subassemblies?

A subassembly functions on its own. An example is the pilot night vision system. A component is a smaller part, such as a part of the engine.

I know that governmental agencies often have very strict guidelines about purchasing that could affect the cost of materials.

For the sake of this case, you can assume that the British Ministry of Defense, MOD, allows "commercial off-the-shelf" purchases, which means that the client is free to purchase from whomever it wants, as long as it can ensure that the parts meet MOD quality guidelines.

I see that purchased subassemblies comprise more than 70 percent of materials. How many suppliers are there for these subassemblies?

There are seven suppliers of major subassemblies that go into the fighter jet.

That seems like a relatively small number. Are there more suppliers that are qualified to do this type of work?

The manufacture of these parts requires a substantial investment in R&D, engineering, and infrastructure. It would be very costly for new suppliers to make the required investment, particularly if the client is trying to reduce the price it pays to the subassembly manufacturers.

Since there are only a few subassembly suppliers, and the investment hurdle would preclude bringing in competing manufacturers, it would be difficult to reduce the price paid. Perhaps we should look elsewhere for savings.

But remember, if your client loses the contract, it will lose its customer unless it is teamed with the competing bidder. Even then, if the competitor is underbidding your client, there will be even less room for it to profit.

Perhaps it would have an incentive to reduce its costs in order to maintain the contract. Are the majority of its costs in materials as well?

How could you find that out?

I would want to interview the purchasing and engineering personnel of the different subcontractors in order to understand their cost structures. If we had a better understanding of their economics, our client might be able to reduce cost across the board, allowing it to compete more effectively for the contract without killing everyone's margins.

Let's say that purchased materials average approximately 70 percent of the price paid to most of the manufacturers.

If the cost of subassemblies represents 40 percent of the jet cost and 70 percent of that is purchased materials, total purchased materials would be approximately 28 percent of the cost for subassemblies. Purchases of raw materials and components represent another 15 percent, for a total of around 43 percent of the cost of the jet. If our client could reduce the cost of raw materials by 20 percent, it could reduce the cost of the jet by more than 8 percent, more than enough to offset the 5 percent reduction it would need to win the contract.

That sounds reasonable, but 20 percent is a very lofty goal. How would you go about doing that?

First, I would look at the number of suppliers. Are there a large number of suppliers to the subassembly manufacturers?

The client estimates that there are approximately 125 suppliers of raw materials and components among the manufacturers of the subassemblies and itself.

Well, that sounds like a large number of suppliers. Of course, they could be providing very specialized materials to the subassembly manufacturers. Are these suppliers providing customized or more commodity products?

About 80 percent of these products are commodities, such as sheet metal and wire harnesses. Even some of the electronics, such as printed wire boards and circuitry, are fairly generic.

That sounds promising, but I would need to know whether these commodities are interchangeable, so that our client could concentrate spending with fewer suppliers. Are there many commonalities among the parts used by the different subassembly manufacturers? We could talk to their engineers and look at the designs and bills of material to determine how much overlap there is.

Let's say that you did this and discovered that approximately 30 percent of the cost of raw materials is from similar materials used across the subassembly manufacturers.

It seems safe to assume that the client would need more commonality to be successful in concentrating its purchasing and reducing costs. Do the engineers believe that the percentage of overlap could be increased if the designs were modified?

They believe they could increase that percentage substantially, particularly with basic materials such as screws and sheet metal, but also in other more customized areas.

That's great news, but we would still need to know whether the subcontractors are using the same suppliers. We could analyze the number of suppliers for each of the areas of overlap.

Good suggestion. Although there are some common suppliers, the analysis indicates that the subassembly manufacturers tend to use different suppliers.

STEP 5: SUMMARIZE AND MAKE RECOMMENDATIONS

Our client needs to reduce costs by 5 percent. The largest area of opportunity appears to be in purchased materials, the majority of which comprise subassemblies manufactured by seven subcontractors. By looking at its purchases in total, the client can target approximately 40 percent of costs.

To achieve the 5 percent cost reduction, it would need to reduce costs by 15 to 20 percent. It could try to do that by increasing commonality in the design of the subassemblies and components and by shifting volume to a smaller number of suppliers.

Considering that the majority of the raw materials and components are purchased commodities, do you think the 15-20 percent cost reduction is achievable?

Well, I know that typically have lower margins than more customized products. I suspect it may be challenging to hit the client's savings target by focusing only on these purchases. But since raw materials and components represent about 40 percent of costs and there is an opportunity to concentrate purchasing, I think we should start here.

Where else could you look for savings?

If I look back at the cost data on the jet, direct labor is another large cost component. As a contingency, we could look into that area as well. I've read that other companies use outsourcing to lower their manufacturing costs-perhaps our client could do the same. For example, it might want to increase its use of purchased subassemblies and reduce the amount of direct manufacturing it does. Of course this would work only if it could drive direct labor costs below the offsetting cost of these subassemblies. The client will be working closely with the subassembly suppliers to implement its purchasing initiative. This may give it an opportunity to explore the suppliers' capabilities at the same time.

That's an interesting suggestion. How would you recommend the company pursue both of the initiatives you have discussed?

I would look first to combine purchases across the subassembly suppliers with our client's purchases. I suspect that the client and the subassembly suppliers will need to share a great deal of information, including engineering drawings and specifications, with potential suppliers of the raw materials and components.
The Internet could prove to be a very effective medium for forming a single "virtual" purchasing department to consolidate both the flow of information and purchase orders across the companies. Our client might also want to use a bidding system for those materials that are true commodities
.
Next, I would turn to the engineering departments and form cross-company teams to look for areas in which to increase commonality of design. At the same time, those teams could explore opportunities to use more purchased subassemblies and decrease the client's direct labor costs.

That sounds great, and is very similar to a project we did. I would caution you, however, to examine the upfront costs involved in your recommendations, both for the redesign and for the implementation of the purchasing system, before going ahead.

Discount retailer Case

STEP 1: ACTIVELY LISTEN TO THE CASE

Your client is the largest discount retailer in Canada, with 500 stores spread throughout the country. Let's call it CanadaCo. For several years running, CanadaCo has surpassed the second-largest Canadian retailer (300 stores) in both relative market share and profitability. However, the largest discount retailer in the United States, USCo, has just bought out CanadaCo's competition and is planning to convert all 300 stores to USCo stores. The CEO of CanadaCo is quite perturbed by this turn of events, and asks you the following questions: Should I be worried? How should I react? How would you advise the CEO?

STEP 2: ESTABLISH AN UNDERSTANDING OF THE CASE

So, the client, CanadaCo, is facing competition in Canada from a U.S. competitor. Our task is to evaluate the extent of the threat and advise the client on a strategy. Before I can advise the CEO I need some more information about the situation. First of all, I'm not sure I understand what a discount retailer is!

A discount retailer sells a large variety of consumer goods at discounted prices, generally carrying everything from housewares and appliances to clothing. Kmart, Woolworth, and Wal-Mart are prime examples in the U.S.

STEP 3: SET UP THE FRAMEWORK

Oh, I see. Then I think it makes sense to structure the problem this way: First, let's understand the competition in the Canadian market and how CanadaCo has become the market leader. Then let's look at the U.S. to understand how USCo has achieved its position. At the end, we can merge the two discussions to understand whether USCo's strength in the U.S. is transferable to the Canadian market.

That sounds fine. Let's start, then, with the Canadian discount retail market. What would you like to know?

STEP 4: EVALUATE THE CASE USING THE FRAMEWORK

Are CanadaCo's 500 stores close to the competition's 300 stores, or do they serve different geographic areas?

The stores are located in similar geographic regions. In fact, you might even see a CanadaCo store on one corner, and the competition on the very next corner.

Do CanadaCo and the competition sell a similar product mix?

Yes. CanadaCo's stores tend to have a wider variety of brand names, but by and large, the product mix is similar.

Are CanadaCo's prices significantly lower than the competition's?

No. For certain items CanadaCo is less expensive, and for others the competition is less expensive, but the average price level is similar.

Is CanadaCo more profitable just because it has more stores, or does it have higher profits per store?

It actually has higher profits than the competition on a per-store basis.

Well, higher profits could be the result of lower costs or higher revenues. Are the higher per-store profits due to lower costs than the competition's or the result of higher per-store sales?

CanadaCo's cost structure isn't any lower than the competition's. Its higher per-store profits are due to higher per-store sales.

Is that because it has bigger stores?

No. CanadaCo's average store size is approximately the same as that of the competition.

If they're selling similar products at similar prices in similarly-sized stores in similar locations, why are CanadaCo's per-store sales higher than the competition's?

It's your job to figure that out!

Is CanadaCo better managed than the competition?

I don't know that CanadaCo as a company is necessarily better managed, but I can tell you that its management model for individual stores is significantly different.

How so?

The competitor's stores are centrally owned by the company, while CanadaCo uses a franchise model in which each individual store is owned and managed by a franchisee who has invested in the store and retains part of the profit.

In that case, I would guess that the CanadaCo stores are probably better managed, since the individual storeowners have a greater incentive to maximize profit.

You are exactly right. It turns out that CanadaCo's higher sales are due primarily to a significantly higher level of customer service. The stores are cleaner, more attractive, better stocked, and so on. The company discovered this through a series of customer surveys last year. I think you've sufficiently covered the Canadian market-let's move now to a discussion of the U.S. market.

How many stores does USCo own in the U.S? How many does the 2nd largest discount retailer own?

USCo owns 4,000 stores and the second-largest competitor owns approximately 1,000 stores.

Are USCo stores bigger than those of the typical discount retailer in the U.S.?

Yes. USCo stores average 200,000 square feet, whereas the typical discount retail store is approximately 100,000 square feet.

Those numbers suggest that USCo should be selling roughly eight times the volume of the nearest U.S. competitor!

Close. USCo's sales are approximately $5 billion, whereas the nearest competitor sells about $1 billion worth of merchandise.

I would think that sales of that size give USCo significant clout with suppliers. Does it have a lower cost of goods than the competition?

In fact, its cost of goods is approximately 15 percent less than that of the competition.

So it probably has lower prices.

Right again. Its prices are on average about ten percent lower than those of the competition.

So it seems that USCo has been so successful primarily because it has lower prices than its competitors.

That's partly right. Its success probably also has something to do with a larger selection of products, given the larger average store size.

How did USCo get so much bigger than the competition?

It started by building superstores in rural markets served mainly by mom-and-pop stores and small discount retailers. USCo bet that people would be willing to buy from it, and it was right. As it grew and developed more clout with suppliers, it began to buy out other discount retailers and convert their stores to the USCo format.

So whenever USCo buys out a competing store, it also physically expands it?

Not necessarily. Sometimes it does, but when I said it converts it to the USCo format, I meant that it carries the same brands at prices that are on average ten percent lower than the competition's.

What criteria does USCo use in deciding whether it should physically expand a store it's just bought out?

It depends on a lot of factors, such as the size of the existing store, local market competition, local real estate costs, and so on, but I don't think we need to go into that here.

Well, I thought it might be relevant in terms of predicting what it will do with the 300 stores that it bought in Canada.

Let's just assume that it doesn't plan to expand the Canadian stores beyond their current size.

OK. I think I've learned enough about USCo. I'd like to ask a few questions about USCo's ability to succeed in the Canadian market. Does USCo have a strong brand name in Canada?

No. Although members of the Canadian business community are certainly familiar with the company because of its U.S. success, the Canadian consumer is basically unaware of USCo's existence.

Does CanadaCo carry products similar to USCo's, or does the Canadian consumer expect different products and brands than the U.S. discount retail consumer?

The two companies carry similar products, although the CanadaCo stores lean more heavily toward Canadian suppliers.

How much volume does CanadaCo actually sell?

About $750 million worth of goods annually.

Is there any reason to think that the costs of doing business for USCo will be higher in the Canadian market?

Can you be more specific?

I mean, for example, are labor or leasing costs higher in Canada than in the U.S.?

Canada does have significantly higher labor costs, and I'm not sure about the costs of leasing space. What are you driving at?

I was thinking that if there were a higher cost of doing business in Canada, perhaps USCo would have to charge higher prices than it does in the U.S. to cover its costs.

That's probably true, but remember, CanadaCo must also cope with the same high labor costs. Can you think of additional costs incurred by USCo's Canadian operations that would not be incurred by CanadaCo?

USCo might incur higher distribution costs than CanadaCo because it will have to ship product from its U.S. warehouses up to Canada.

You are partially right. CanadaCo has the advantage in distribution costs, since its network spans less geographic area and it gets more products from Canadian suppliers. However, since CanadaCo continues to get a good deal of product from the U.S., the actual advantage to CanadaCo is not great-only about two percent of overall costs.

All this suggests that USCo will be able to retain a significant price advantage over CanadaCo's stores: if not ten percent, then at least seven to eight percent.

I would agree with that conclusion.

STEP 5: SUMMARIZE AND MAKE RECOMMENDATIONS

I would tell the CEO the following: In the near term, you might be safe. Your stores have a much stronger brand name in Canada than USCo's, and they seem to be well managed. However, as consumers get used to seeing prices that are consistently seven to eight percent less at USCo, they will realize that shopping at USCo means significant savings over the course of the year. Although some consumers will remain loyal out of habit or because of your high level of service, it is reasonable to expect the discount shopper to shop where prices are lowest. Moreover, over time your brand-name advantage will erode as USCo becomes more familiar to Canadian consumers. You certainly have to worry about losing significant share to USCo stores in the long term. You should probably do something about it now, before it's too late.

Can you suggest possible strategies for CanadaCo?

Maybe it can find ways to cut costs and make the organization more efficient, so it can keep prices low even if its cost of goods is higher.

Anything else?

It might consider instituting something like a frequent shopper program, where consumers accumulate points that entitle them to future discounts on merchandise.

What might be a potential problem with that?

Well, it might not be that cost-effective, since it would be rewarding a significant number of shoppers who would have continued to shop there anyway.

Any other suggestions?

CanadaCo might want to prepare a marketing or advertising campaign that highlights its high level of service. It might even institute a CanadaCo Service Guarantee that surpasses any guarantees offered by USCo.

Assuming the only way to keep customers is through competitive pricing, is there anything CanadaCo can do to appear competitive to the consumer?

It might want to consider offering fewer product lines, so that it can consolidate its buying power and negotiate prices with suppliers that are competitive with USCo's. It might lose some customers who want the variety of products that USCo has, but it may be able to retain the customer who is buying a limited array of items and is just looking for the best price.

All of your suggestions are interesting, and you would want to analyze the advantages and disadvantages of each in more detail before making any recommendations to the CEO.

Medical Software industry Case

STEP 1: ACTIVELY LISTEN TO THE CASE

Your client is GenCo, a large, international, diversified company with a health care division that produces a wide variety of medical instruments and related services. Five years ago, it expanded into the health care software industry by purchasing MedCount, which markets administrative systems to large U.S. hospitals. These systems are designed primarily for back-office functions; they are not designed for managing patients or providing other physician and technical support. Since it was purchased, the software division has failed to deliver the growth needed to justify the multiple GenCo paid for it. GenCo feels it has already squeezed margins as much as possible, and now is looking for new sales opportunities. MedCount turned to BCG to help identify potential ways to increase revenues. How would you approach this problem?

STEP 2: ESTABLISH YOUR UNDERSTANDING OF THE CASE

First, let me make sure I understand the problem. The parent company produces medical devices and services, but before the acquisition was not involved in health care software. The company it purchased, MedCount, sells only administrative systems software to large hospitals. It is now looking for opportunities to increase revenues.

That is correct.

Could I take a moment to jot down a few thoughts?

Sure, that would be fine.

STEP 3: SET UP THE FRAMEWORK

I would suggest using the following framework: First, I'd want to understand the market size and growth rates for MedCount's market and related software markets. Next, I would like to explore the competition and their market shares. Third, I would like to examine customer requirements and then, given those external conditions, look at the division's capabilities to understand how well prepared it is to meet the needs of the marketplace.

That sounds fine. So what do you want to know about the market?

STEP 4: EVALUATE THE CASE USING THE FRAMEWORK

Well, the first hurdle would be to identify the markets the company would be interested in. Besides administration systems, what other types of medical software systems do large hospitals purchase?

There are many software systems, but for the sake of time, the team focused on three primary markets: administration systems, patient administration, and physician support systems.

What do those systems do?

Patient administration includes systems like admissions and tracking. Physician support systems are more specialized, for individual physician procedures.

I would like to know how large each market is and how fast each is growing. I would use secondary sources such as press releases, analyst reports, and published market studies, to obtain this information.

Great! That is what we did during the market study. Our information revealed the following market sizes and growth rates.

	Administration	Patient administration	Physician support
Market size ($M)	1,500	1,000	1,200
Growth rate	5%	5%	12%

From a size and growth perspective, physician support systems looks like a very attractive market. I'd like to know a little about the customers themselves. The client is currently targeting large hospitals. Approximately what percentage of the market do they represent?

We were unable to get an exact breakdown, but we know that these hospitals make up the vast majority of the total medical software market.

That would make sense, since the more sophisticated procedures at a hospital might necessitate more advanced software solutions. I know that there have been a lot of changes in the industry as a result of managed care. I don't know much about the industry, so I would want to look at market studies and press clippings to get a better sense of the hospital market in general and any technology or software trends more specifically.

Okay. Let's say that you did that and were presented with this summary of market trends:

- Consolidation in the industry, with three to four large hospital networks dominating 45 percent of the market
- Cost controls instituted, particularly as these large hospital networks acquire smaller hospitals (centralization of functions being a key cost issue)
- Many hospitals seeking to consolidate their vendor base
- With regard to technology, many hospitals upgrading their older systems

If hospitals are consolidating vendors, perhaps our client has an advantage in being part of a larger medical company. Maybe the client could also gain some advantages by expanding into other software segments. Are the people responsible for purchasing software at the hospital the same for all three segments?

Like all things, it differs by hospital, but the larger hospital networks, have tried to consolidate their purchasing not only within but also across hospitals.

Is the decision maker for medical software the same as for medical instrumentation and devices?

In some cases, the head of purchasing influences both decisions, but the person who makes the final choice is different. Software decisions are usually made by the hospital IT function, and those for instrumentation by the medical staff.

I think I have a pretty good understanding of the market for now. Let's look at competition next. We could identify all the competitors and build up the market shares using a combination of public data and estimates.

Well, let's assume that you don't have an infinite amount of time to look at all the competitors. You can only look at the top five competitors in each market. You are given the following data:

Administration Systems	**Sales ($M)**	**Growth (%)**
MedCount	700	4%
HCS Software Systems	100	7%
Morningside Software	80	3%
Admin Systems Solutions	70	2%
HTI Software	50	15%

Patient Administration	Sales ($M)	Growth (%)
HTI	300	5%
Registration Software Solutions	240	4%
Signup Software	60	3%
HCS Software Systems	30	16%
Patient Software	20	-1%

Physician Support	Sales ($M)	Growth (%)
HCS Software Systems	150	16%
Physician Support Systems	100	11%
Medical Technology Inc	25	18%
HTI	20	32%
MedSys	5	15%

Very interesting. The first thing I would note from the data is that the market concentrations are very different. In administrative systems, the top five competitors control 66 percent of the market and in patient administration, they control 65 percent. But in the physician support market, they control only 25 percent.

I would want to know what gross margins look like in each of these markets as well. I might turn to analyst reports and look at competitors' financial statements to deduce whether they are making money in each market

Gross margins vary, of course, but the analyst reports have margins of 25 to 30 percent for administrative systems and for patient administration. For physician support, the margins tend to be higher, more like 45 to 50 percent.

I see that two competitors, HTI and HCS Software Systems, have very large revenue growth in all three sectors, although they each dominate one. I would want to look at their financials, annual reports, and press releases to find out a bit more about their strategy in each of these areas.

You'd find that they recently entered these noncore markets. Why might they have done that?

Perhaps, like our client, each had a strong position in its own segment, HTI in patient administration and HCS Software Systems in physician support. Maybe they too decided to branch out into the other segments to find additional growth.

That is a very good hypothesis. Let's say there is evidence in the sources you consult that supports your assertion.

Well, if that were true, these two companies could be a threat not only in the other two segments, but also in our client's segment, administrative systems. It looks as if the client is slowly losing market share in its segment, since it is growing more slowly than its market.

Good observation.

The market and competitor trends could also suggest that the client may want to enter these other markets. In particular, the physician support market looks attractive, given it has high growth and lack of a dominant competitor. The higher gross margins may provide attractive returns on the necessary investment in software development. However, the patient administration market may also be attractive. Although it is more concentrated and offers lower margins than physician support, the client may be able to enter this segment with a smaller up-front investment. Given the trend toward upgrading existing computer systems, it may be *important for MedCount to have a product offering in each of the three market segments. That should not be too difficult, since the company is already in the software industry.*

Perhaps, but you should think a little more closely about these types of software. Are all software systems alike?

Well, let me think about that for a moment. I suspect patient administration would have relatively low entry barriers. From your earlier description, these systems appear to be pretty basic, dealing primarily with admissions and patient tracking However, the entry barriers in physician support might be higher, since these systems are more complex and there are probably multiple systems for the various physician procedures. I guess it would be harder to get into those types of systems.

That would make sense.

Since the company might want to go into only some of the segments, I would want to know how important it is to have products in all three segments. Do we know if the competitors are marketing their products as a bundle?

How might you find that out?

Since it would be difficult to talk to a competitor directly, I would probably target a competitor's customer, particularly one that just converted from our client's software.

Let's say you get an interview with a customer that recently switched to HTI. You discover that the competitor was offering it a better pricing deal and service for software products in all three segments.

How were MedCount's software and service perceived in relation to those of competitors?

The customer thought that its administrative systems were adequate, "the old standby," but not stellar.

Were there any other key reasons it switched from MedCount's system?

When it decided to upgrade its systems, it tried to contact MedCount, but could never get a representative to describe its options.

Interesting. How did HTI perform?

The HTI representative had heard that the company was considering switching software vendors and provided a sales representative to pitch HTI's administrative product the next day.

It definitely sounds as if there was a problem with the sales function and that customer relations need to be improved, particularly for the larger hospital chains. There also seems to be an advantage from both a marketing and sales perspective in having multiple software products. I would want to confirm those views by doing further interviews.

Let's say further interviews support those assumptions.

Since we have already looked at the external conditions, I would like to move on to the client itself. I'd like to know more about its marketing and selling organization as well as its software development skills.

So far, we know that our client offers administrative software and that there may be a problem with sales and marketing. Could you tell me a little about the marketing department?

The marketing department is organized regionally. Teams are assigned to hospitals within each state or geographic region, such as New England.

That could explain some of the problems with MedCount's marketing and sales. If hospital purchasing is centralized, the marketing organization may be outdated. Does the company have any teams dedicated to the four or five biggest hospital networks?

No, there are no dedicated teams. They talked about doing that for a while, but it conflicted with the regional structure it had in place.

With regard to software, does the company feel it has any strengths or weaknesses?

It feels that their administrative product is very strong ("best of breed") and is the dominant technology. Also, the product is modular in design, which allows for easier upgrades. Although the company has never branched out into other market segments, the software developers believe that certain modules could be used to build the foundation for other administrative software programs. The company feels customer support is also an area in which it excels.

STEP 5: SUMMARIZE AND MAKE RECOMMENDATIONS

Let's start with our client's market. The client dominates the administrative software market, which is fairly large but growing slowly, and the company appears to be slowly losing market share. Patient administration is also growing relatively slowly. Both markets are relatively concentrated and appear to offer lower margins than physician support. The physician support market is large and less concentrated, and could potentially provide higher margins, but would require a larger investment. The hospital market itself is becoming more concentrated and is pushing to consolidate vendors. The purchasing agent is often the same for the three types of software.

Looking at our client's competitors, two, HTI and HCS Software Systems, appear to be particularly threatening. Each has a dominant position in one segment and is branching out into other areas. They appear to be marketing their products and services as a bundle and are using service as a key point of differentiation.

The client offers only one type of system and appears to have some weaknesses in its marketing organization, particularly in marketing to the larger hospital networks, which offer the most promising market opportunities.

How would you recommend proceeding?

The first priority should be to fix the marketing organization, particularly for the large hospital networks. MedCount will have trouble expanding into new markets if it can't defend its current position and shore up its existing customer relationships. There should be a team dedicated to each of the major chains. The client should also look at improving customer tracking so that it is clear when its customers are going to upgrade. There should also be clear contacts so that the customer can easily keep in touch with MedCount.

Next, I would recommend that the client explore entering the other market segments by leveraging its dominant position in administrative systems. At first glance, patient administration does not appear to be very attractive, with slow growth, low margins, and large, dominant competitors. There appears to be some advantage, however, in having products across the product range. I would recommend that we interview some of MedCount's existing customers to better understand their needs and future IT requirements. If the customer base is interested in one software provider for both back-office administration and patient administration functions, this segment looks promising.

If the client does decide to enter this market, it should look at the lowest-cost method of entry, either developing a product internally or acquiring a competitor. The modular design of its existing administrative software suggests internal development of the patient administration product may be the way to go, but we would need a more thorough comparison of the internal development and acquisition options, including both cost and time to market. I think that physician support offers our client an exciting growth opportunity, given its high margins, high growth, and fragmented competition. I would definitely think about an acquisition strategy, since the client may lack the technical capabilities to enter this specialized market. I would recommend going for one of the larger companies, as that would give the client a stronger position. Smaller companies would probably not offer an important enough position in the market. More research would be needed, however, for us to better understand the intricacies of the market and each potential acquisition.

Those are very interesting conclusions. Thank you.

Mobile telephony Case

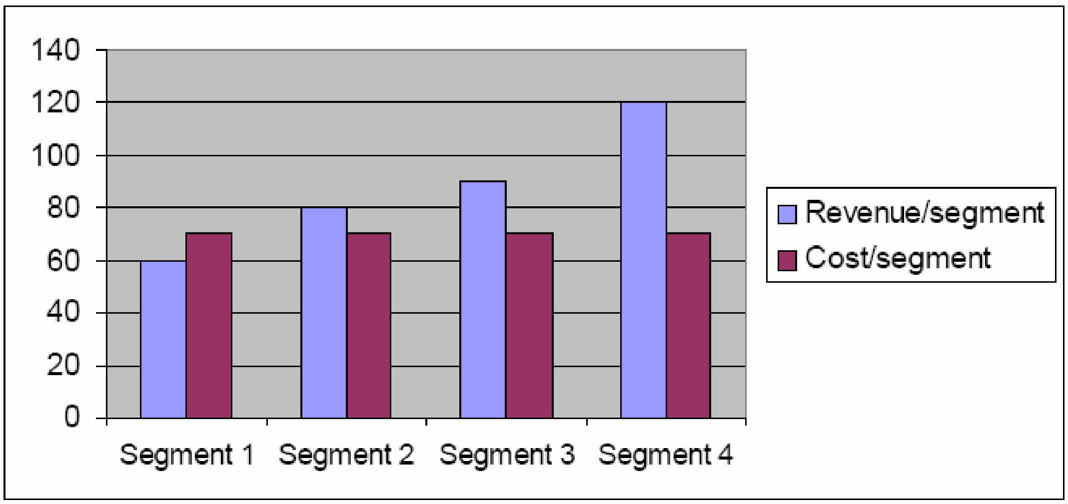
Our client is a telecom company active in mobile telephony. They would like to know how they should estimate the value of their client's network.

Do we have our own network or do we use third party services?

They use third party services for accounting and sales services.

What is the average retention period for my customers?

The average retention period of a client is 3 years. This means that most of the clients in my portfolio are either in their first, their second, or their third year of contract with the company.



Verbalization of data

Marketing taste: the clients can be divided into several segments. Each segment can be characterized by a particular offer (i.e. only local calls, international plan,…). We will have to look at the lifetime value of clients in each segment.

Financial taste: value of portfolio = NPV (sum of discounted cash flows per segment)
In order to obtain the CF, we must determine which are the costs and revenue streams in this industry.

Revenue streams = fixed revenue (connection fee = fixed amount, if there is any) and variable revenue (cost/minute). Thanks to the average retention rate, we can determine the lifetime value of a customer (how much total revenue shall I get from him over the average 3 years).

Costs = mainly fixed costs (network and network maintenance, HQ, marketing)
However, many traditional fixed costs can be transformed into variable costs by externalizing the tasks to a third party:
- Accounting services (variable = cost/invoice issued or processed)
- Sales (call center services – variable = number of calls)

Moreover, some costs are one shot (sales and marketing costs faced to acquire a client) while the other costs are recurrent (and will repeat themselves every year).

Finally, I'll take the total cost over 3 years (same reference as for the revenue).

For each segment, lifetime value = # of customers in the segment * (3 years revenue – 3 years costs). Note that I have to discount revenues/costs in years 2 and 3.

Apart from this they would like to know
- One segment is not profitable, what should they do?
- In which other industries does the concept of lifetime value of customers typically apply?

As it turns out, the unprofitable segment is composed of pre-paid calling cards that are typically bought buy younger customers. These customers will usually transform the segment into more profitable segments as they grow older. Therefore, this offer must at least partly be considered as a marketing effort to acquire and win the loyalty of customers.

There are a lot of other industries where the concept applies (car manufacturing …anything that implies loyalty games), but the most striking one is the financial services industry (banks and credit card companies)

Could you summarize your approach?

For each segment, I can calculate the lifetime value of my customers. The value of my portfolio is the sum of the values of each of these segments.

Fast Food Case

(c) QUESTION AND BACKGROUND INFORMATION:

A client calls you to complain that the fast food restaurant that he bought has been steadily losing money for the last 6 months.

How would you advice this client?

(d) INFORMATION TO BE GIVEN AS A RESPONSE TO STUDENT INQUIRIES:

- Profits have declined.
- Revenues have decreased.
- Number of customer has decreased

(e) SOLUTION:

Ask the student for reasons why the amount of customers can have decreased.

Some suggested answers:

External Factors

- New competition
- Change of customer taste
- Change in business environment

Internal Factors

- Quality problems
- Change in pricing

Explain that the main reason that the amount of customers has come down is the opening of a new restaurant in the neighbourhood. Apparently this new restaurant must be doing something good, since it has a big impact on your clients' business.

How would you assess this new restaurant's value proposition?

Some suggested answers:

- Visit the place
- Conduct interviews with customer who visited the place
- Do research on their marketing activities

Could you give some examples of factors to which you would pay attention in comparing the value proposition of this new restaurant with your client's?

<u>Some suggested answers:</u>

- Types of food that are served
- Quality differences
- Price differences
- Do they offer healthier options and more variety?
- How is the service? Cleanliness?

They serve chicken dinners and appear to offer a completely different experience. I expect that in this way you can gather enough information about the actual proposition which is made by both restaurants. However in the restaurant business a big factor in the business is the perception customers have of the restaurant they visit.

How would you set up an experiment to compare the perception clients have of the different restaurants?

<u>Suggested answer:</u>

I would pay some customers to go to each restaurant and rate the food and experience. I would also determine how many of the customers are former burger customers but are exclusively chicken customers, versus how many visit both, and how many are completely new to the chicken place but would not visit the burger restaurant.

How would you process the data you have acquired and how would that translate into an actionable plan?

<u>Suggested answer:</u>

Armed with the data on what customers' value, I would then create a set of options to evaluate. There are likely a number of areas that need improvement including new menu options, improved facility layout, better taste/quality. Which will drive most traffic back into the restaurant fastest? Which give the largest return on investment? After analyzing the alternatives based on the chosen criteria, I would prioritize them and develop an action plan to include timing and responsibilities.

[At this point, the case could go in several directions from leadership and project management issues, to brand marketing and promotion, to financial decisions about whether to close the facility.]

Toy Manufacturer Case

Your client is the third largest toy manufacturer in Europe and has come to you because their sales have been stagnant or even declining during the last few years. Sales had been rising before. Why are sales like this? How can the client improve the situation? Which elements would you like to analyze?

INFORMATION TO BE GIVEN AS A RESPONSE TO STUDENT INQUIRIES:

- Company is selling traditional toys
- Company segments their market into: pre-school (0-6 years, girls toys and boys toys)
- Highest volume products are: plastic toys, dolls and vehicles + action figures
- Industry growth has been flat
- Profit margin is ten to fifteen percent
- Production takes place in Asia
- Company has subsidiaries in main European markets, responsible for sales in these markets. The sales force visits the distributors of the toys, which are mainly supermarkets and department stores on the one hand and dedicated toy shops on the other hand.
- Brand image of client is good.

QUESTIONS TO ASK THE STUDENT:

Suppose you are in a meeting with this client and the question arises as to how large the toy market really is in Belgium? How would you determine this?

Suggested answer:

Let's say that we consider mainly (for this client) the market of 0-14 year old children. There are 10 million people in Belgium, which translates into about 3 million households if you take an average of 3 people per household. Not all households have children, and some have more than one, and so I guessed that there would be about 0.5 child on average in this age category per household, so 1.5 million children.

Then I looked at the gifts they receive and started to enumerate important occasions children at that age get presents from their parents: birthday, Christmas, beginning and end of school, and maybe one more occasion, which gives 5 in total. Then I said that each time the parents would spend 50 Euros on average. So this means that each child receives toys for an amount of about 250 Euros per year. I then multiplied the 250 Euro with the 1.5 million children to find my estimate for the toy market in Belgium of about 375 million Euros.

What would you think could be a reason of the stagnant sales of the client?

Suggested answer:

The first one that comes to mind is that the client is not strong in the electronic game business, which has been the fastest growing segment over the last decade in the toy industry. The client should consider one of three options: either grow their electronics business themselves, or buy a company that already is specialized in electronic games, or else form a partnership with such a firm.

10. Additional Sample Case Questions

1. A German luxury car manufacturer is interested in entering the sport-utility vehicle market (for example, Jeep Cherokee) after noticing that the market has grown dramatically worldwide in the past two years. How would you advise the manufacturer? What does it need to know before making an entry decision? If it chooses to enter, what might a viable strategy be?

2. A North American manufacturer/retailer of high-end glassware experienced a dramatic decline in same-store sales at its retail outlets last year. How would you begin to assess the reasons for the decline? Using your analysis as a basis, what strategy would you recommend for the manufacturer?

3. A large public utility formerly had a monopoly in the British electricity market. Now that the market has been deregulated, small power-generation companies have already captured a five percent share from the utility by offering to provide large businesses in the U.K. with their own in-house power-generation capabilities. The CEO of the utility wants to understand whether this trend will continue and how she can prevent further loss of share. How would you answer her question?

4. A U.S.-based pharmaceutical company that focuses on discovering, developing, and selling drugs for the treatment of cancer has been experiencing flat growth and is interested in expanding into new businesses. In view of the growth and profitability of stand-alone cancer treatment centers in the U.S., the company is considering establishing and operating similar centers in China. This would be the company's first foray into the cancer treatment center business. How would you evaluate the attractiveness of the opportunity?

5. The Swiss Ski Association has been petitioned by an international snowboarding club to permit snowboarding on the ski slopes within its jurisdiction. (Assume that the association currently forbids snowboarding on all Swiss ski slopes.) If the association is interested in maximizing profits, how should it respond to the petition? What factors would the answer depend upon?

11. Other Resources

- **Vault resources** (on the Career website):
    - Vault Guide to the top 50 consulting firms
    - Vault guide to the case interview
    - Vault guide to consulting
    - WetFeet.com Industry and Company Guides

- **Books**
    - **Dangerous Company** by James O'Shea and Chalres Madigan
    - **Mckinsey's Marvin Bower: Vision, Leadership, And the Creation of Management Consulting**
    - **Management Consulting: A Complete Guide to the Industry**, Sugata Biswas
    - **The Advice Business: Essential Tools and Models for Management Consulting**, C. Fombrun & M. Nevins
    - **The McKinsey Way**, E Raziel
    - **Consultant's News** – monthly newsletter
    - **The Fast Track: The Insider's Guide to Winning Jobs in Management Consulting**, Naficy, M.
    - **The Insider's Guide to Management Consulting**, Praksh, G.
    - **Management & Consulting: An Introduction to James O. McKinsey**, Wolf, W.